

Investment Analysis

Microsoft

Industry Analysis

IT Sub-Industries: Managed Services

Definition & Role

Managed services are IT services provided by third parties to help enterprises streamline operations and improve efficiency. They cover functions like IT infrastructure management, cloud services, and technical support.

Market Position:

Among all service types (managed, cloud, network, software development/maintenance, security, consulting), managed services dominated the market in 2024.

Adoption Levels:

- According to a survey by Jumpcloud, around 60% of large enterprises globally use managed services to streamline IT and cloud operations.
- The sector has also seen a surge in M&A activity, as strategic players acquire managed service providers (MSPs) to expand capabilities and reach.
- Investment Trend:
Mid-sized MSPs are especially attractive to private equity firms, which pursue roll-ups of smaller companies to create larger, more scalable service entities.

IT Sub-Industries: Cloud Services

Definition & Role:

Cloud services provide organizations with online access to computing resources (hosting, storage, backup, SaaS, hybrid, and multi-cloud) without requiring heavy upfront investments in hardware or infrastructure. They simplify processes, ensure reliable disaster recovery, and support efficient operations

Market Position:

Cloud computing is becoming indispensable. By 2028, it will be an essential component for maintaining business competitiveness.

Adoption Levels:

- Hybrid and multi-cloud environments are increasingly adopted because they improve operational efficiency and cost optimization.
- Organizations use cloud to manage complex hardware in virtualized environments while maintaining smooth operations.
- Investment Trend:
Integration of 5G with cloud is expanding capacity, speed, and latency. Telecom and IT service providers are actively investing in cloud offerings to deliver advanced services

IT Sub-Industries: Consulting Services

Definition & Role:

Consulting services help organizations optimize IT processes, identify inefficiencies, and reduce operational costs.

Market Position:

Consulting services are projected to grow with the highest CAGR among all IT service categories during the forecast period

Adoption Levels:

- Consulting is sought to enable smarter technology investments and ensure digital transformations remain cost-effective.
- Investment Trend:
The shift toward automation and compliance-driven services is boosting demand. As regulatory frameworks change frequently across regions, enterprises are turning to consulting firms for ongoing support



IT Sub-Industries: Network Services

Network Services in IT Services

Definition & Role:

Network services involve the management and virtualization of IT and network platforms, often delivered through PaaS, IaaS, or SaaS solutions. These services provide tenants with virtualized infrastructure and software supported by shared physical hardware and storage.

Market Position:

Network services are increasingly tied to 5G adoption, enabling faster connectivity, lower latency, and more scalable operations.

Adoption Levels:

- Companies are integrating cloud-ready networks that combine software-defined networking, network slicing, and self-managed networks.
- Investment Trend:
Telecom operators and IT service providers (e.g., Ericsson, Intel, Telkomsel, Telefonica, Swisscom) are expanding network services to support IoT, cloud, and 5G applications

IT Sub-Industries: Software Dev. & Maintenance

Definition & Role:

Network services involve the management and virtualization of IT and network platforms, often delivered through PaaS, IaaS, or SaaS solutions.

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IT Sub-Industries: Security Services

Definition & Role:

Security services protect organizations from rising cyber threats by safeguarding data and IT infrastructure. They include cybersecurity platforms, threat monitoring, and compliance services.

Market Position:

Security services are experiencing surging demand, as organizations prioritize defense against increasingly sophisticated cyberattacks.

Adoption Levels:

- 77% of organizations plan to increase cybersecurity budgets in response to threats.
- Managed cybersecurity is particularly in demand in the U.S., where the average cost of a data breach is USD 9.48M per incident.
- Investment Trend:
Companies like Accenture, CrowdStrike, and Fortinet are expanding their security offerings through AI-native and OT security solutions.

Sub-Industry Shares

Managed Services:

- Dominated the market in 2024.
- Adoption driven by large enterprises (~60% globally use managed services for IT and cloud operations).
- Key role: streamlining IT operations and improving efficiency.

Cloud Services:

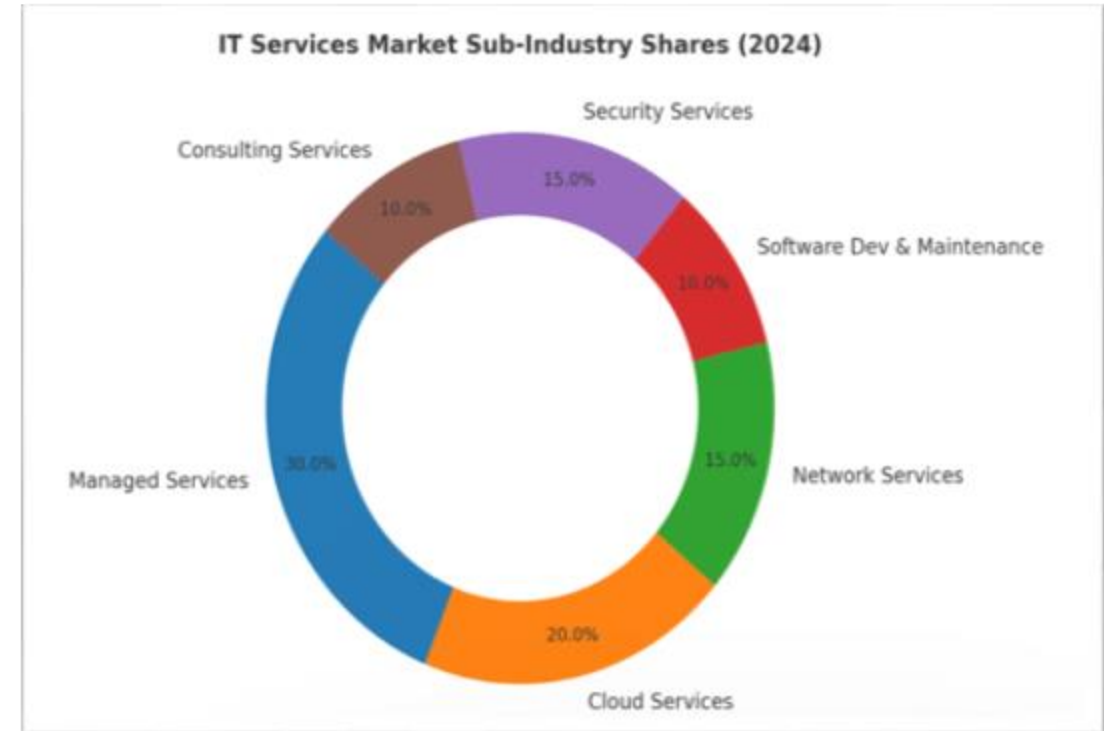
- Strong demand across industries for hosting, storage, backup, SaaS, hybrid, and multi-cloud.
- Central to digital transformation and competitiveness (expected to be essential by 2028).

Consulting Services:

- Fastest-growing sub-segment (highest CAGR) during the forecast period.
- Growth fueled by demand for compliance support, process optimization, and cost reduction.

Network Services, Software Development & Maintenance, and Security Services:

- Essential offerings supporting virtualization, 5G adoption, and cybersecurity demand.
- Security services in particular are surging due to rising cyber threats (77% of firms increasing budgets).



Industry Evolution and Future Outlook

Description:

These tables provides the evolution of IT sector products in the year 2025, as well as a side-by-side snapshot of where each IT service type stands today (evolution) and where it’s heading (future outlook). It highlights Managed and Cloud services as dominant, Consulting as the fastest-growing, and Security as the most urgent growth area due to cyber risks.

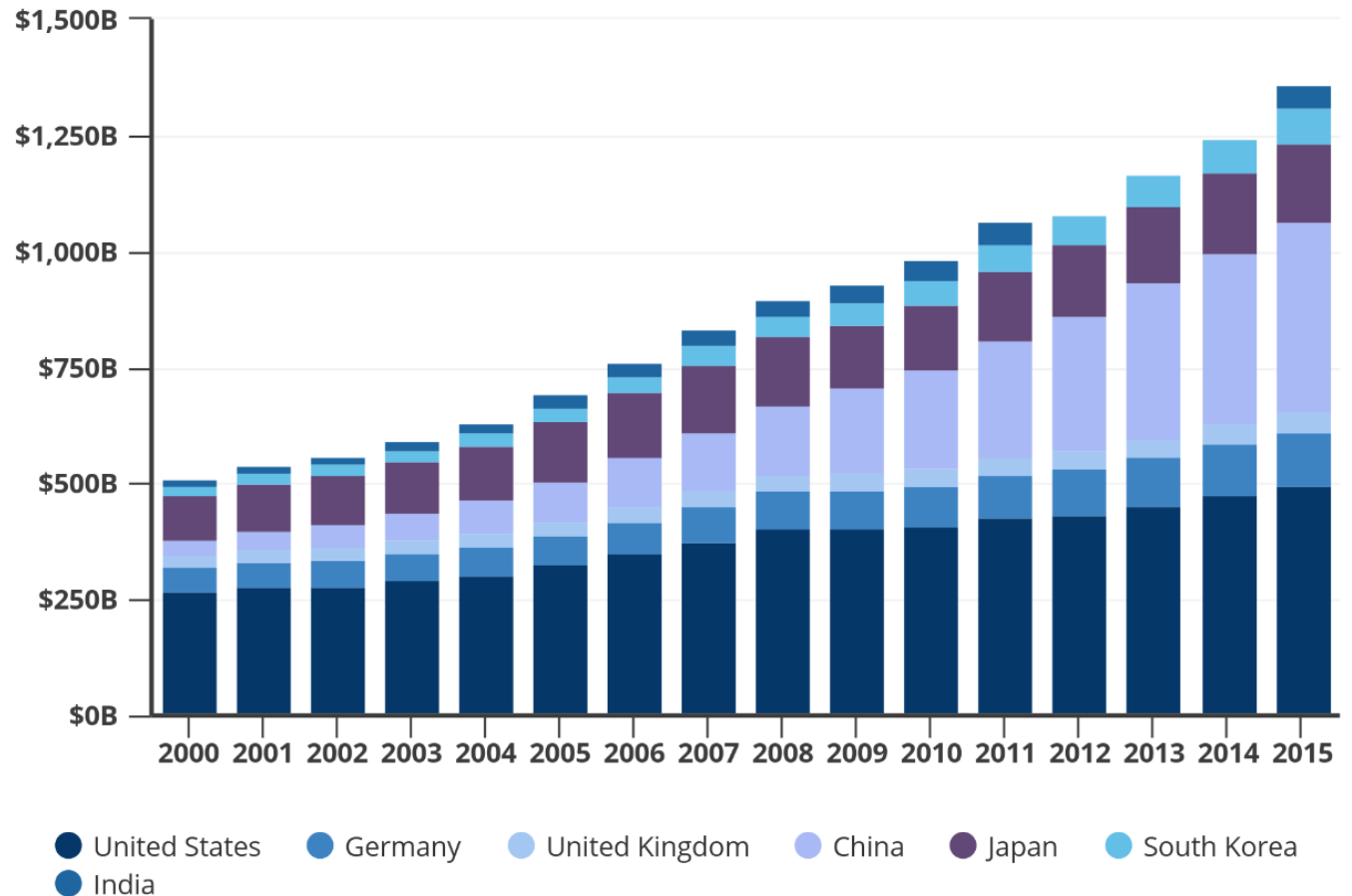
Date	Company & Product
Feb 2025	Accenture – Generative AI for Net-Zero Projects
Feb 2025	TCS – Ignio Platform with UPM
Mar 2025	AWS – Multi-Agent Collaboration in Amazon Bedrock
Mar 2025	Accenture + CrowdStrike – AI-Native Cybersecurity
Mar 2025	Fortinet – Advanced OT Security Platform

Industry Evolution	Future Outlook (2025–2032)
• Businesses shifted to digital platforms and automation. • Large enterprises adopted cloud-first strategies (85% by 2025). • SMEs embraced subscription IT (80% cloud adoption by 2023). • Cybersecurity spending surged (77% firms raising budgets). • Generative AI automated coding, testing, and monitoring. • Green IT grew due to emissions and energy concerns.	• Market to grow from USD 1.43T (2025) to USD 2.32T (2032), CAGR 7.2%. • Cloud essential for competitiveness by 2028; hybrid/multi-cloud dominates. • 5G + cloud integration creates new opportunities. • Healthcare fastest-growing sector (telehealth 3x pre-pandemic). • Consulting services to record highest CAGR. • Heavy M&A in Managed Service Providers (MSPs). • Asia Pacific grows fastest; North America retains lead.

IT Sector Evolution and Future Outlook (Continued)

Key Points:

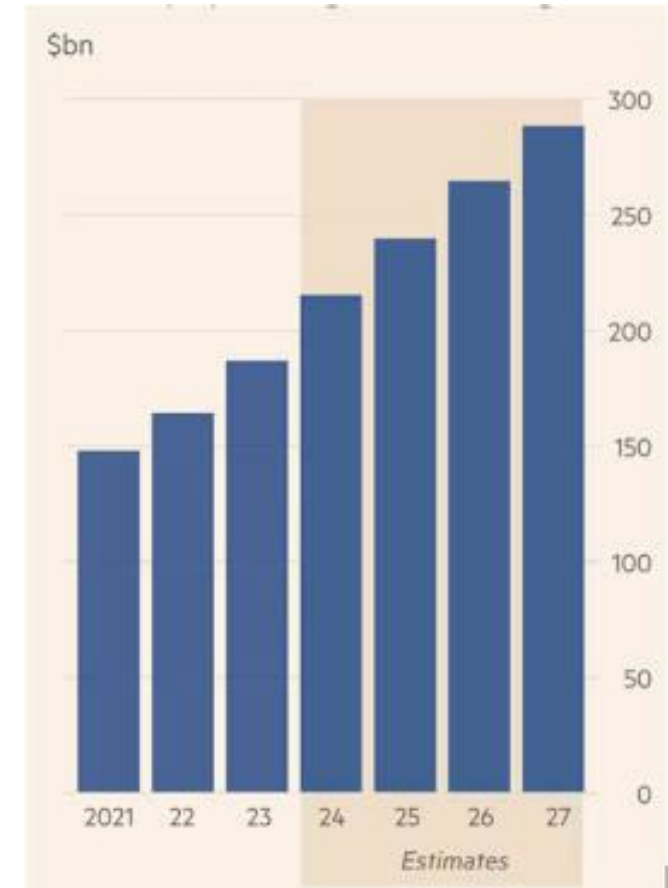
- IT Services industry evolved from a digitization and cloud-driven foundation into one where AI, cybersecurity, and sustainability are becoming central.
- Future outlook points to strong growth, accelerated by consulting services, healthcare digitalization, and 5G-cloud convergence.
- Asia Pacific set to become fastest-growing region.



Growth Drivers

Industry Drivers:

- Digital Transformation & Automation – 9/10 organizations expected to increase IT budgets in 2025
- Cybersecurity Demand– 77% of organizations increasing cybersecurity budgets due to rising threats
- Cloud Computing Adoption – Simplifies operations, improves disaster recovery, reduces upfront costs; hybrid/multi-cloud growing
- Generative AI Integration – Automates coding, testing, monitoring, documentation, and bug fixes, speeding development
- Green IT Services – Demand for renewable-powered data centers and low-carbon cloud solutions to meet net-zero targets
- 5G Advancements – Enhances speed, capacity, and latency; enables virtualization of IT and network platforms



Headwinds

High Implementation Costs

- Enterprise-Scale Complexity:
- Deploying IT services — especially large-scale or customized systems — requires substantial upfront investments in hardware, software licenses, infrastructure (servers, data centers, networking), skilled labor, and IT specialists
- Impact: This makes it difficult for smaller companies, or even larger enterprises with tight budgets, to justify full-scale adoption.

High Maintenance & Ongoing Costs

- Continuous expenses such as scaling infrastructure as demand grows, regular software updates and security patches.
- Impact: These recurring costs put long-term pressure on operational budgets, sometimes offsetting the expected savings from digital transformation.

Budget Strain & Opportunity Cost

- Companies may struggle to balance rising IT costs with other strategic investments (R&D, expansion, workforce).
- For SMEs in particular, even subscription-based IT services can accumulate into heavy recurring expenses, limiting how much they can scale.

Qualitative Analysis

Business Lines

Productivity and Business Processes

- Includes: Office Commercial & Consumer, LinkedIn, Dynamics 365
- Drivers: Office subscriptions, LinkedIn advertising, cloud-based Dynamics
- Investor Angle: Stable, recurring revenue from enterprise + consumer productivity demand



Microsoft
Dynamics 365



Intelligent Cloud

- Includes: Azure, Server Products, Enterprise Services
- Drivers: Rapid Azure adoption, hybrid cloud demand, enterprise contracts
- Investor Angle: *Core growth engine; competition with AWS/Google Cloud but leading and fastest-growing segment*



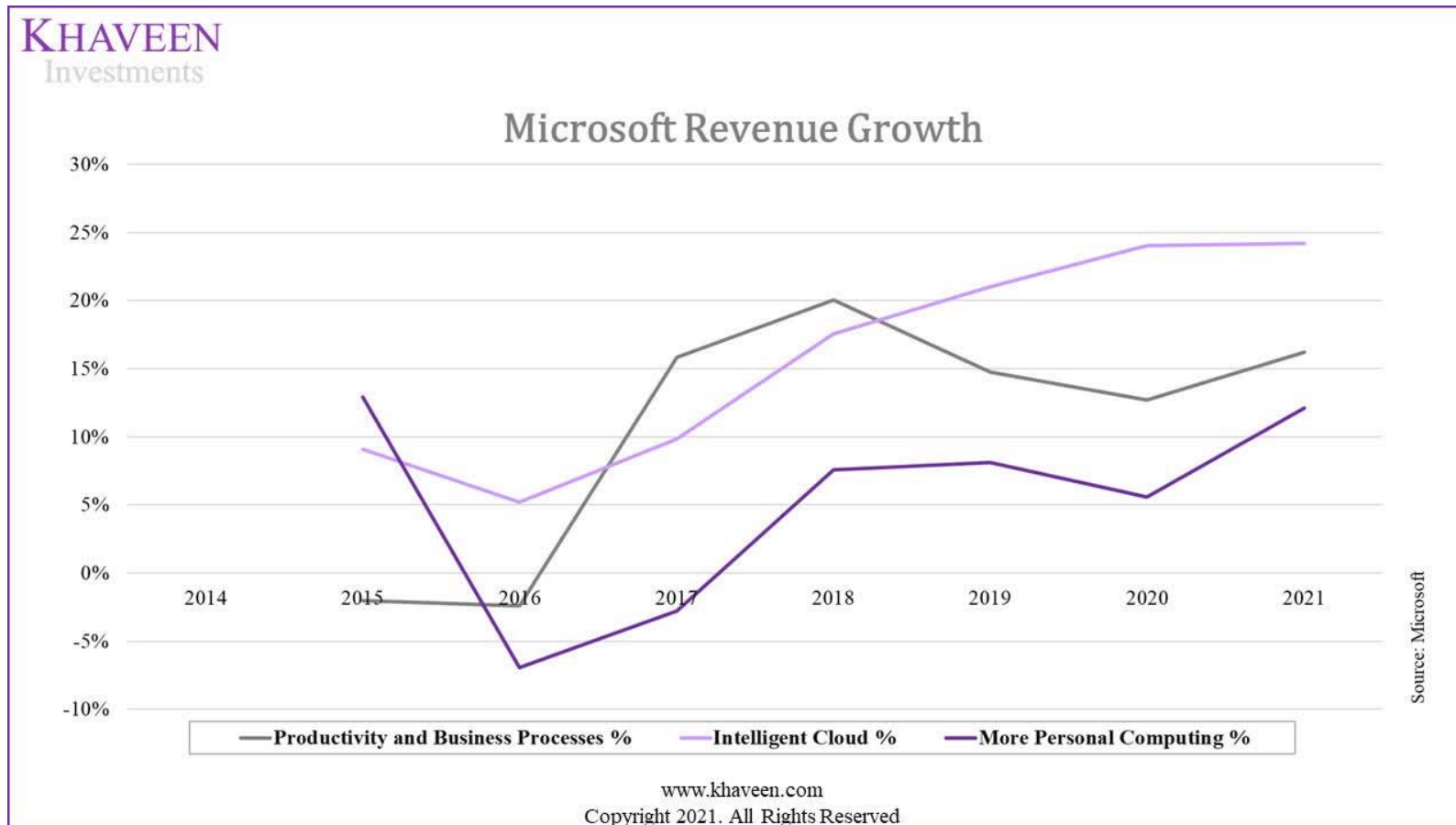
Personal Computing

- Includes: Windows OS, Surface Devices, Xbox/Gaming, Search Advertising
- Drivers: Windows licensing, Xbox/Game Pass engagement, search ad revenue
- Investor Angle: More cyclical, but steady cash flows diversify Microsoft's portfolio



Revenue Breakdown

Microsoft operates through three diversified business segments. Intelligent Cloud is the primary growth engine, Productivity & Business Processes provides stable recurring revenue, and More Personal Computing offers cyclical but steady cash flows — together driving balanced performance



Intelligent Cloud (Revenue Breakdown)

Microsoft's Intelligent Cloud refers to a comprehensive suite of cloud services, encompassing public, private, and Hybrid Solutions.

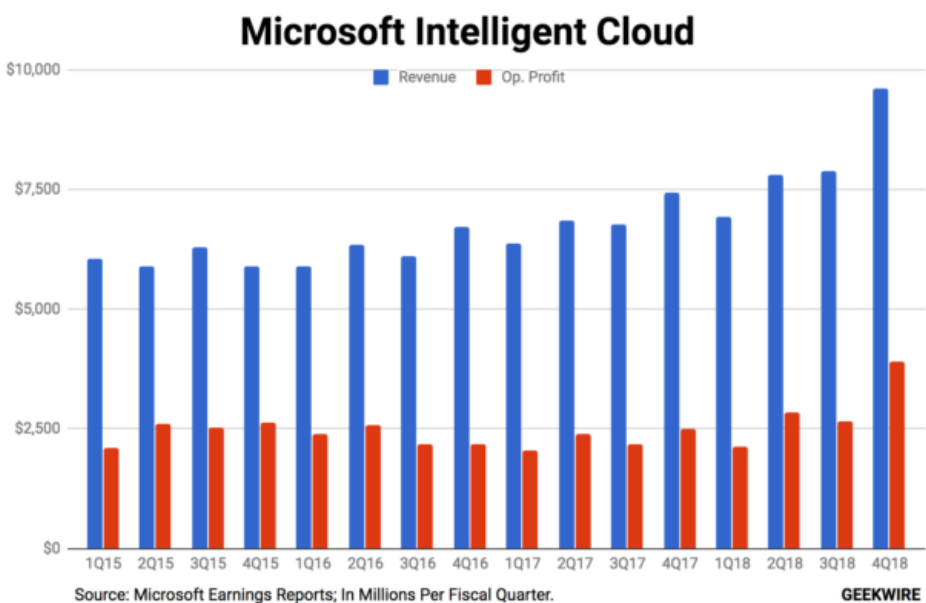
It primarily includes Azure, server products, and other cloud services designed to support modern business needs and development.

KEY TAKEAWAY

Intelligent Cloud delivered strong revenue growth of 20% YoY and operating income growth of 31%, driven primarily by Azure, Server Products, and Enterprise Services. Rapid adoption of Azure’s cloud solutions, along with hybrid cloud offerings and large enterprise contracts, positions this segment as Microsoft’s primary growth engine and a critical driver of long-term profitability

Revenue (in billions)	2024	2023	2022
	105,362	87,907	74,965
Operating Income	49,584	37,884	33,203

Revenue increased **\$17.5B or 20%** from Fiscal year 2023 to 2024
Operating Income grew **\$11.7B or 31%** from Fiscal year 2023 to 2024



Personal Computing (Revenue Breakdown)

Lots of growth, with revenues increasing by billions across fiscal years, illustrated by Windows OEM licensing and Xbox content.

Substantial increase in gaming revenue driven by Xbox content/services like Game Pass

Revenue (in billions)	2024	2023	2022
	62,032	54,734	59,941
Operating Income	19,309	16,450	20,490

Revenue increased **\$7.3 bn or 13%** from Fiscal Year 2023 to 2024

Operating income increased **\$2.9 bn or 17%** from 2023 to 2024

Key Takeaway

Personal Computing delivers solid, diversified revenue driven by Windows licensing, Xbox content/services, and search advertising. Gaming and advertising growth help offset cyclical declines in hardware, making this segment an important contributor to Microsoft's overall portfolio stability.

Gaming Impact:

- Xbox content/services (Game Pass) drove substantial revenue growth.
- Activision Blizzard acquisition boosted Xbox content revenue, while hardware sales declined.

Search/Advertising Impact:

- Higher search volume and revenue per search increased advertising revenue (~\$1.6B or 13% YoY).
- Core services include Bing, Microsoft News, and other search-related offerings.

Productivity and Business Processes

The Productivity and Business Processes segment encompasses Microsoft's suite of productivity, communication, and information services products.

Revenue (in billions)	2024	2023	2022
	77,728	69,274	63,364
Operating Income	40,540	34,189	29,690

Revenue grew **\$8.5B or 12%** from Fiscal Year 2023 to 2024

Operating Income grew **\$6.4B or 19%** from Fiscal Year 2023 to 2024

KEY TAKEAWAY

Productivity & Business Processes delivers stable, recurring revenue with high margins. Its subscription-based model and enterprise adoption make it a reliable, defensive segment within Microsoft's portfolio.

MAJOR PRODUCTS

Microsoft 365 Commercial: Offers Enterprise Mobility + Security, Exchange, SharePoint, Microsoft Teams, and more.

Microsoft 365 Consumer: Features consumer subscriptions including Office

LinkedIn Operations: Focuses on Talent Solutions, Marketing Solutions, Premium Subscriptions, and Sales Solutions.

Dynamics 365: Includes ERP and CRM cloud-based applications such as Power Apps and Power Automate, with significant growth in this line

Office (commercial and consumer)

Microsoft Office, launched in the 1990s with applications such as Word, Excel, PowerPoint, and Outlook, has become the standard in schools and businesses. Today, it has evolved into **Microsoft 365**, a cloud platform that enables storage, sharing, and real-time collaboration across multiple devices. Unlike the old one-time license model, it follows a **subscription-based approach** that includes continuous updates, OneDrive storage, collaborative tools like Teams, and advanced security features. It has over **400 million active users in 2024**.

Core Features:

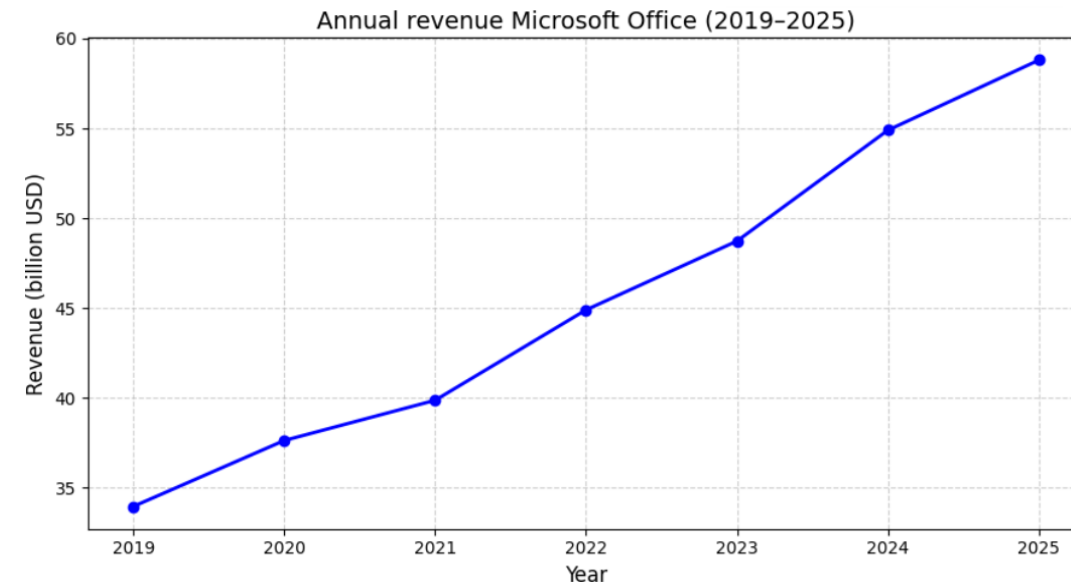
- Word, Excel, PowerPoint, Outlook: Productivity essentials
- Microsoft Teams: Collaboration and communication
- OneDrive & SharePoint: Secure cloud storage
- AI Copilot: AI-powered productivity

Consumers:

- Microsoft 365 Personal & Family subscriptions
- Cross-device integration (PC, Mac, mobile)
- 1TB OneDrive cloud storage

For Commercial:

- Business & Enterprise licensing
- Advanced security and compliance tools



Microsoft 365 accounts for approximately **43% of Microsoft's total revenue** and it is one of the company's main sources of revenue, contributing significantly to its overall turnover.



In **2016**, when **Microsoft acquired LinkedIn** for \$26.2 billion, integrating it with its business and productivity tools.

Today, LinkedIn has over **1 billion members worldwide**, and it has evolved from a simple online résumé hub into a full professional ecosystem, offering job opportunities, networking, learning (via LinkedIn Learning), and business promotion.

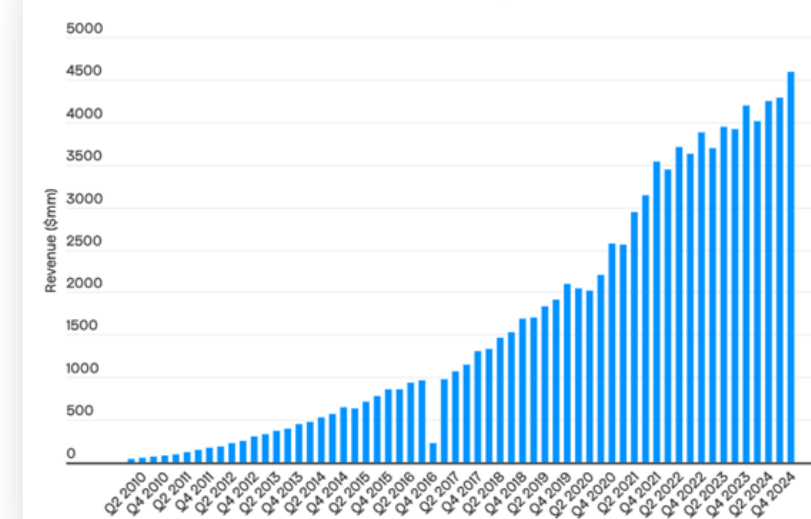
Core Features:

- Professional Networking: Connect professionals and companies
- Job Search & Recruiting: LinkedIn Talent Solutions
- Content Sharing: Posts, articles, and videos
- LinkedIn Learning: Online upskilling courses
- Premium Accounts: Advanced tools (InMail, analytics)
- LinkedIn Ads: Targeted advertising for companies and professionals.

Consumers:

- Individual professionals: Looking for jobs, networking, personal branding.
- Companies: Recruitment, employer branding, B2B lead generation.
- HR & recruiters: Access to a global talent pool.
- Marketers and B2B salespeople: Use LinkedIn Ads and LinkedIn Sales Navigator.

LinkedIn revenue 2010 to 2024 (\$mm)



FY 2024 10-K: LinkedIn revenue growth: **\$1.4 billion** (9% increase), around 15 (2023) billion to approximately **\$16 billion (2024)**.

Dynamics

Launched in 2016, **Microsoft Dynamics 365** is an integrated business platform that combines **ERP and CRM** functionalities to manage finance, supply chain, sales, marketing, and customer service. Scalable and customizable, it integrates with **Microsoft 365**, the **Power Platform**, and **Azure**, offering AI-driven automation and analytics. Widely adopted across industries worldwide, it helps organizations enhance operational efficiency, customer experience, and data-driven decision-making

Core Features:

1. ERP (Enterprise Resource Planning):

- Business Central: Complete business management solution, ideal for small and medium-sized enterprises.
- Finance: Advanced financial management.
- Supply Chain Management: Optimization of the supply chain.
- Commerce: Management of retail operations.
- Project Operations: Management of business projects.
- Human Resources: Human resources management.

2. CRM (Customer Relationship Management):

- Sales: Management of sales and opportunities.
- Customer Service: Customer support and service.
- Marketing: Management of marketing campaigns.
- Field Service: Management of field service operations.

3. Artificial Intelligence and Analytics:

- Customer Insights: Analyzing customer data to gain deep insights.
- Copilot: Integrated AI assistant to improve productivity and efficiency.

Intelligent Cloud

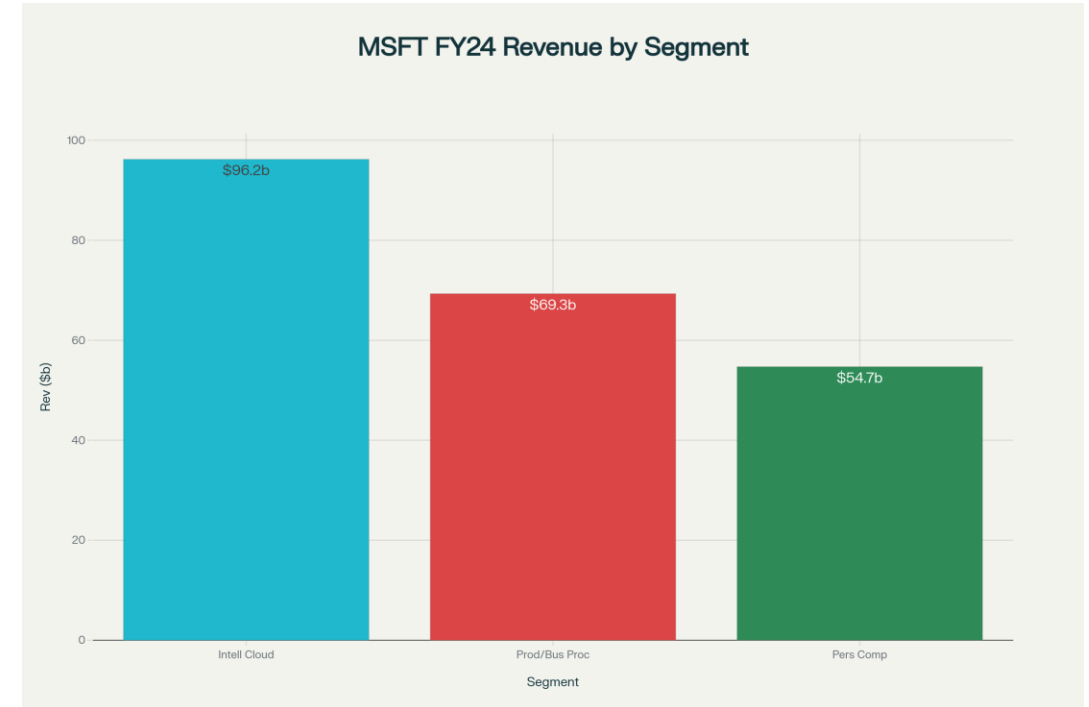


Segment Overview

Microsoft's Intelligent Cloud segment, its largest and fastest-growing unit (\$96.2B FY24 revenue, +17%), combines **Server Products and Cloud Services** with **Enterprise and Partner Services**, powering modern business infrastructure and developer services

Market Position and Performance

- 24% global cloud market share, second to AWS
- Operates in 140+ countries – the broadest geographic footprint of any cloud provider
- Strategic advantages:
 - Hybrid cloud and enterprise ecosystem: integration between on-premises and cloud environments for MS 365, Windows, and others
 - Global infrastructure: most extensive global presence with 60+ regions for local data residency and compliance



Server Products and Cloud Services

Product	Description	Core Features	Growth
	Flagship cloud platform offering infrastructure and services with AI and machine learning integration	Managed databases, hybrid and multi-cloud integration, advanced analytics, security, disaster recovery	Revenue increase by 16%: market share and adoption continue to rise, driven by demand for AI
	Enterprise database management system (on-premises and cloud)	Advanced scalability, enhanced security, Power BI/Excel integration, hybrid cloud, automated management	Market size at \$20.7B in 2025: projected to grow at a CAGR of 10.1% to \$54.2B by 2035
	Flagship operating system for deploying, managing, and securing applications and IT infrastructure	Unified management for Windows/Linux, deep enterprise integration, layered security, flexible licensing, hybrid cloud	Global market share of 58%; 14% YoY revenue growth for commercial/cloud products
	Proprietary developer platform for version control, collaboration, and code hosting using Git	Secure code repositories, project boards, workflow automation, AI-powered Copilot, marketplace integrations	Over 100M users in 2025; \$2B+ annual revenue run rate:

Enterprise and Partner Services



Business Overview

- The Enterprise and Partner Services division generates \$7.6B in revenue for FY24, representing 3.1% of Microsoft's total revenue
- The segment encompasses comprehensive support services, professional consulting, and the world's largest technology partner ecosystem
- Growth is driven by cloud migration, AI adoption (Copilot, GenAI), hybrid complexity consulting, and expansion of Microsoft's partner ecosystem through specialization and co-sell investments

Key Services

Unified & Premier Support (Enterprise Support Services)

A consolidated enterprise support model offering reactive and proactive assistance across Microsoft products, with dedicated account management

Professional Services and Consulting

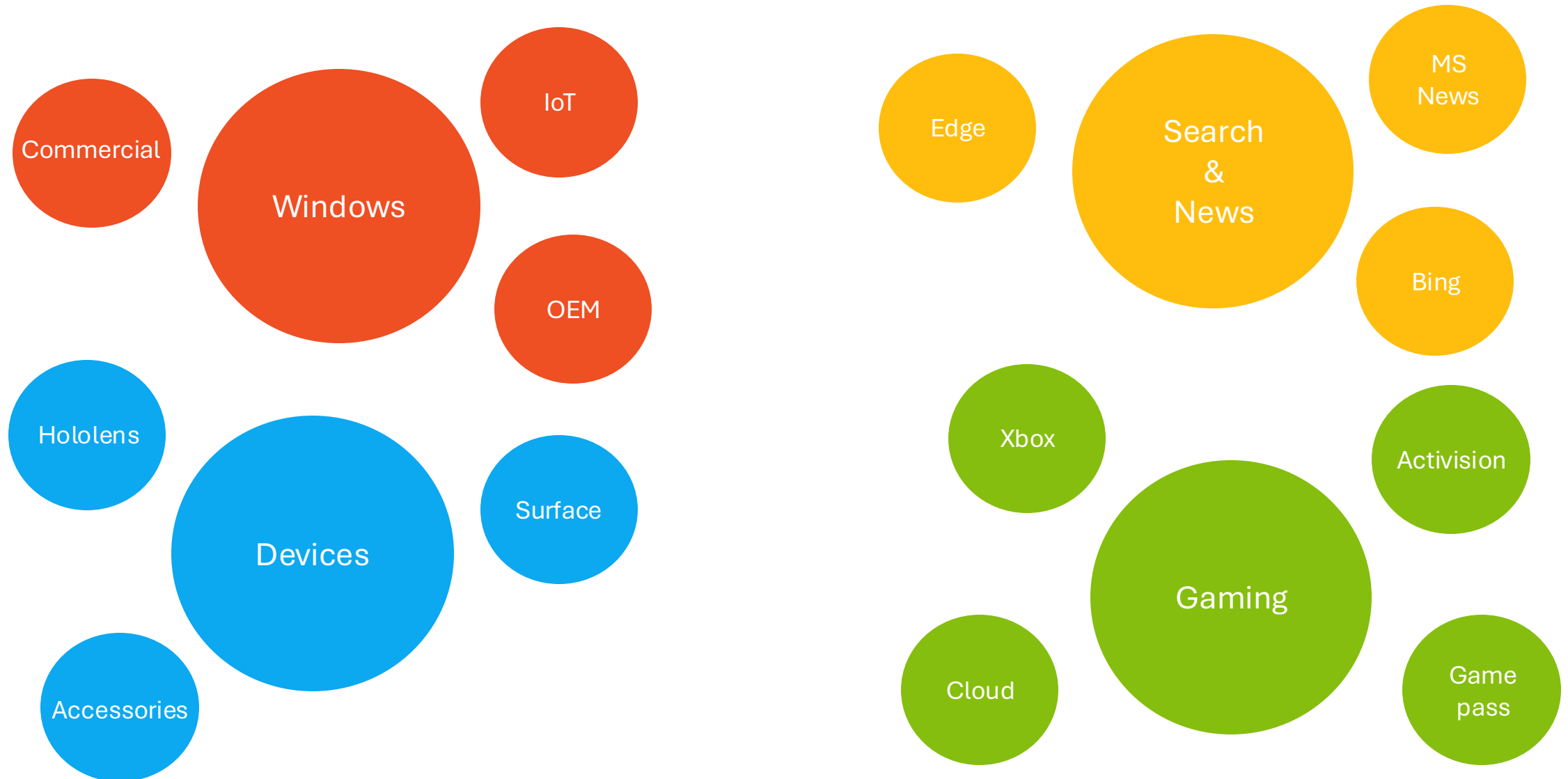
Expert advisory, implementation, and managed support services delivered by Microsoft's global team of architects and consultants to optimize IT environments

Partner Network Ecosystem

A global program of technology companies (including integrators, resellers, and service providers) that build, deploy, and go-to-market with Microsoft-based solutions

More Personal computing

More Personal Computing segment consists of products and services that are directly linked to the Customer



Windows OEM and Commercial

The Windows operating system is designed to deliver a more personal computing experience for users. Windows OEM revenue is impacted significantly by the number of Windows operating system licenses purchased by OEMs, which they pre-install on the devices they sell.

Windows Commercial revenue, which includes volume licensing of the Windows operating system and Windows cloud services such as Microsoft Defender for Endpoint, is affected mainly by the demand from commercial customers for Microsoft 365.

Windows OEM revenue is closely tied to overall PC shipments, with performance shaped by the device mix, as well as differing demand trends between developed and emerging markets. Revenue is further influenced by OEM channel inventory, pricing and promotional strategies, and supply chain dynamics.

Windows Commercial revenue is anchored in licensing the Windows OS alongside cloud-based services, with growth fueled by adoption of Microsoft 365 and advanced security solutions. This segment depends on the scale of the enterprise information worker base, offering greater stability through recurring subscriptions.

Devices

Devices Segment

The Devices segment includes **Surface** (including the new Copilot+ PCs), **HoloLens**, and a portfolio of PC accessories. These products are designed to integrate seamlessly with Windows and Microsoft's productivity and cloud ecosystem, reflecting the company's strategy of combining hardware, software, and services in a unified experience.

Surface & HoloLens

Surface is positioned as a premium hardware line for **enterprises, students, and consumers**, highlighting productivity and integration with Microsoft 365 and Copilot AI. **HoloLens**, on the other hand, expands Microsoft's footprint in mixed reality and enterprise solutions, targeting industries such as healthcare, manufacturing, and defense.

Long-Term Value

Ultimately, the Devices segment functions less as a profit engine and more as a **strategic catalyst**. They serve as a testbed for new technologies like AI integration and mixed reality and enhances customer loyalty, supporting revenue growth across the company's higher-margin segments.



Gaming



Market Overview

Global gaming industry worth ~\$200B annually, larger than film + music combined.

Strongest growth drivers: mobile gaming (emerging markets), cloud gaming (access without high-end hardware), and subscription models (recurring revenue).

Microsoft's Xbox Game Pass is a leader in subscriptions, shifting consumer spending from one-time purchases to ongoing engagement.

Industry consolidation accelerating — Microsoft's \$69B acquisition of Activision Blizzard (2023) added *Call of Duty*, *World of Warcraft*, *Candy Crush* and strengthens its IP portfolio.

Competitive Landscape

Consoles: Xbox directly competes with Sony PlayStation and Nintendo Switch, where exclusives and community loyalty are key drivers.

Cloud gaming: Microsoft uses Azure to power Xbox Cloud Gaming, creating scale and infrastructure advantages over rivals like Google Stadia (discontinued) and Amazon Luna.

Attention economy: Gaming doesn't only compete with other games, but also with video streaming, social media, and other entertainment platforms, making innovation critical.

Gaming (continued)

Microsoft's Strategic Position

Ecosystem advantage: Seamlessly integrates Xbox consoles, PC gaming, Game Pass subscriptions, and cloud streaming into one unified platform.

Content moat: Strong portfolio from first-party studios (Halo, Minecraft, Forza, Bethesda titles) + Activision Blizzard IPs (Call of Duty, WoW, Diablo, Candy Crush).

Monetization diversity: Revenue streams include hardware sales, digital downloads, subscriptions, in-game purchases, advertising, and app store commissions.

Global reach strategy: Expanding access to billions of gamers worldwide by enabling play across console, PC, mobile, and cloud endpoints.

Risks & Challenges

Fierce competition: Sony and Nintendo dominate in consoles; Tencent and other mobile-first firms lead mobile; Google/Amazon threaten in cloud gaming.

Content & acquisition costs: Maintaining exclusive content requires heavy investments and high M&A spending.

Regulatory pressures: Antitrust scrutiny of big acquisitions (e.g., Activision Blizzard) could slow or block growth moves.

Consumer behavior shifts: Transition from physical sales → digital subscriptions could hurt margins if subscription growth slows.

Search and news advertising



Market Overview

- **Large, growing market:** Global digital ad spend exceeds **\$600B annually**, with search remaining one of the most profitable segments due to high-intent user traffic.
- **Resilient demand:** Even in downturns, search ads remain attractive because of measurable ROI compared to traditional and brand advertising.
- **News ads** provide complementary reach, leveraging publisher partnerships and curated content across **MSN, Microsoft Start, and Edge**.

Competitive Landscape

- **Google dominance:** Holds ~90%+ global search share, making it Microsoft's largest competitor.
- **Microsoft Bing:** Second player in search, benefiting from integration into **Windows, Edge, and Office**, but still limited scale compared to Google.
- **AI-enhanced search:** Partnership with **OpenAI** positions Microsoft as the first mover in applying large language models to mainstream search, improving user engagement and differentiation.
- Competes indirectly with **Meta, TikTok, and Amazon Ads**, as advertisers diversify budgets across search, retail, and social platforms.

Search and news advertising (continued)

Microsoft's Strategic Position

- **Ecosystem bundling:** Bing traffic supported by being the **default search engine** in Edge and embedded into Windows devices, driving steady baseline usage.
- **Premium content network:** Strong publisher relationships through **Microsoft News/Start**, offering “brand-safe” ad inventory in contrast to volatility on social media.
- **AI-driven moat:** Bing Chat and AI-powered search features increase engagement and could reshape the search experience, challenging Google's traditional dominance.
- **High-margin contribution:** Advertising revenue, though smaller than Google's scale, adds **profitable cash flow** that supports Microsoft's broader diversification into Cloud, Office, and Gaming.

Risks & Challenges

- **Scale disadvantage:** Microsoft's ad share remains in the low double digits, limiting network effects compared to Google Ads.
- **Regulatory headwinds:** Privacy rules (GDPR, CCPA) reduce targeting precision; antitrust scrutiny could limit partnerships or acquisitions.
- **Disruption from AI:** As search transitions to conversational AI, monetization models are untested risk that ad revenue may lag user adoption.
- **Publisher reliance:** Shifts in revenue-sharing agreements with content providers could compress margins in news advertising.

Licensing Model

Overall Licensing Model

Microsoft's licensing framework is broad and multi-channel, designed to serve consumers, enterprises, developers, and governments.

Subscription-based Licensing

Cloud services (Azure, Microsoft 365, Dynamics 365, GitHub, LinkedIn, Xbox Game Pass). Users typically pay per seat (e.g., Office 365 subscriptions) or usage-based fees (e.g., Azure).

Volume Licensing & Enterprise Agreements

- Large customers purchase enterprise-wide contracts, which often bundle productivity tools, cloud services, and security solutions. Enterprise Mobility + Security and Microsoft Teams are now bundled with Microsoft 365 to expand adoption.

OEM Licensing

- Windows preinstalled on PCs and devices through original equipment manufacturers (OEMs). This is still significant, though increasingly complemented by Windows 365 (streamed OS).

On-Premises & Perpetual Licensing

- Some products, like Office or SQL Server, remain available as perpetual licenses, but the share is shrinking as customers migrate to cloud-based subscriptions.

Patent & IP Licensing

- Microsoft licenses patents and technology broadly (e.g., Windows IoT, device patents). This contributes to revenue in the More Personal Computing segment.

Key Licensing Strategies

Cloud-First / AI-First Shift

- Microsoft's licensing model is deliberately pushing customers from perpetual licensing toward recurring subscription and consumption-based models. An example of this is Office customers are migrating from "Office on-premises" to Microsoft 365 subscriptions.

Integration & Bundling

- Licensing increasingly integrates products across productivity, cloud, and security. Microsoft 365 bundles Office, Teams, Windows, Copilot, and security features.

Role-Based AI Licensing

- New licensing layers such as Copilot for Sales, Service, Finance add role-specific value to Microsoft 365 and Dynamics subscriptions.

Hybrid Cloud Flexibility

- Azure Arc and hybrid licensing allow customers to combine on-premises licenses with cloud deployments, preserving flexibility.

Consumer Subscriptions

- Growth in Microsoft 365 Consumer with Copilot Pro demonstrates subscription expansion beyond enterprise.

Gaming & Content Subscriptions

- Xbox Game Pass and Activision Blizzard's catalog shift gaming away from one-time purchases toward recurring subscription licensing.

Recent Trends in Licensing Approach

Shift from Perpetual to Subscription Models

- Revenue in Office and Dynamics is now “mainly affected by the continued shift to cloud-based subscriptions” rather than upfront license sales. Windows 365 (cloud-based OS licensing) shows a move away from traditional OEM dependency.

AI as a Licensing Layer

- Microsoft now licenses AI capabilities as add-ons (e.g., Copilot subscriptions on top of Office or Dynamics). Copilot Pro launched as a consumer subscription tier.

Cross-Platform Licensing

- GitHub Copilot licenses to developers across ecosystems, not just Microsoft platforms. Azure AI Studio enables enterprises to license tools to build their own AI models.

Gaming Subscriptions and Content Rights

- Game licensing evolving through Xbox Game Pass, with first-party and third-party titles licensed for subscription access. The acquisition of Activision Blizzard expands Microsoft’s library for subscription monetization.

Geographic and Sector Expansion

- Enterprise and government contracts increasingly emphasize licensing for compliance, data residency, and sector-specific “industry clouds.”

Examples of Licensing in Practice

Office 365 → Microsoft 365 Migration

- Customers are incentivized to move from perpetual Office to cloud subscriptions, increasing recurring revenue and ARPU.

Copilot Licensing

- Microsoft now charges additional subscription fees for Copilot in Microsoft 365, which integrates AI into Word, Excel, and Outlook.

Azure Consumption Licensing

- Enterprise cloud services licensed on a pay-as-you-go or committed spendbasis, scaling with workload needs.

Windows OEM Licensing

- Still bundled on most PCs, but increasingly complemented by Windows 365 subscription licensing for enterprises.

Xbox Game Pass

- A clear example of shifting from one-time software/game purchases toward subscription licensing with ongoing engagement.



Brand and Reputation



Scale & History

- Founded in 1975, Microsoft has been at the center of the personal computing revolution (Windows, Office) and then cloud and AI revolutions (Azure, Copilot). Products like Windows, Office/365, Xbox, and now Azure AI have become household and enterprise standards.

Breadth of Offerings

- Unlike peers focused narrowly (e.g., AWS on cloud, Apple on hardware), Microsoft covers productivity software, enterprise IT, gaming, devices, and now AI services. This ecosystem reinforces brand presence across consumer and enterprise touchpoints.

Network Effects

- Microsoft Teams, LinkedIn, GitHub, and Office create locked-in user bases where switching costs are high. Azure benefits from being tightly integrated with enterprise systems already running Windows Server, SQL, and Office.

Brand Trust

- Microsoft consistently ranks among the most valuable brands globally (Interbrand, Forbes), underpinned by security, compliance, and enterprise reliability. It has a strong reputation with regulators—despite scrutiny—contrasts with peers like Meta, giving Microsoft brand resilience.

Reputation among Stakeholders

Customers

- Enterprises trust Microsoft as a secure, hybrid, and compliant partner, particularly in regulated industries (banking, healthcare). Consumers recognize Microsoft for Windows PCs, Xbox gaming, and productivity software. AI-powered Copilot is enhancing consumer awareness.

Partners

- Microsoft Partner Network is one of the largest ecosystems globally, covering system integrators, resellers, developers. Partnerships with OpenAI, chipmakers (Nvidia, AMD), and hardware OEMs (Dell, HP, Lenovo) extend its reach.

Investors

- With a market cap of \$2.8 trillion as of Dec 2023, investors see Microsoft as a durable growth and dividend-return story. There is also a track record of strong operating cash flow, dividend growth, and buybacks strengthens its reputation as a “safe compounder.”

Example

- In FY2024, Microsoft highlighted record Intelligent Cloud growth, boosting investor confidence in its long-term trajectory.

Strengths and Weaknesses

Strengths:

Diversified Ecosystem

- Cloud, productivity, gaming, devices, and AI ensure revenue resilience.

AI Leadership

- Copilot brand recognition is expanding fast, positioning Microsoft as the AI democratizer.

Enterprise Trust

- Deep roots in business IT

Partner Network

- Thousands of global integrators and ISVs embed Microsoft solutions.

Brand Longevity

- Recognizable logo, decades of consumer exposure

Example

Microsoft Teams (over 300M users) became ubiquitous during the pandemic, reinforcing its brand in collaboration.

Weaknesses:

Regulatory Scrutiny

- Antitrust inquiries in the U.S. and EU may erode brand goodwill.

Sustainability Challenges

- Heavy AI/data center energy use risks reputational damage vs. carbon-neutral goals.

Consumer Hardware Struggles

- Surface sales are modest compared to Apple

Perception of Enterprise-First

- Microsoft still battles the reputation of being less “cool” than Apple or Google in consumer segments.

Dependency on Legacy Products

- Windows OEM licensing declines as consumers shift toward mobile-first devices.

Example

- Windows Phone failure showed difficulty in consumer mobile brand and expansion.

R&D and innovation trends

Investment Scale:

Invested approx. \$32.49 B in R&D over the trailing 12 months ending June 30, 2025 (10.1% increase from the prior year's \$29.51 B)

AI Infrastructure Expansion:

Committed \$80 B this year alone to bolster its AI infrastructure, signaling a major push toward autonomy in AI development

In-House AI Models:

Launched **MAI-Voice-1** (a fast, expressive speech model integrated into Copilot features) and **MAI-1-preview** (a robust language model trained using 15,000 NVIDIA H100 GPUs)

Quantum Computing Innovation:

Through **Azure Quantum** and **Azure Quantum Elements**, Microsoft blends AI, high-performance computing, and quantum technologies for scientific discovery and materials research

Leadership at Build 2025:

At 2025 Build conference, Microsoft presented its AI platform vision, unveiling new coding agents, and forging partnerships with OpenAI, Nvidia, and xAI. The company also reaffirmed its role as a central AI orchestrator across enterprise infrastructures



Satya Nadella, the Chairman and CEO of Microsoft

Distribution, Sales & Marketing



Multi-Channel Distribution:

OEMs:

- Microsoft works with global and regional OEMs to pre-install software on PCs, tablets, servers, and other devices.
- Direct OEM agreements exist with large companies like Dell, Lenovo, Samsung (smaller “system builders” get software through distributors)

Distributors & Resellers:

- Large organizations buy directly via enterprise agreements with support from solution integrators and Enterprise Software Advisors.
- Indirect sales occur through LARs, VARs, distributors, and retailers.
- Hardware products (Surface, Xbox) are sold through third-party retailers and Microsoft Stores.

Online / Cloud:

- Increasingly, Microsoft delivers value via cloud-based services: Office 365, Azure, Exchange Online, Windows Intune, Xbox Live.
- Online services are sold through enterprise agreements, SMB partner programs, and the Microsoft Store.

Customers

Major Corporate Clients (Legal Entities)

- **BlackRock:** uses Azure to enhance infrastructure and data analytics, especially for the Aladdin platform
- **Coca-Cola:** employs Azure, Dynamics 365, and Microsoft 365 to gain a comprehensive view of operations and improve both customer and employee experience
- **Walmart:** massive five-year agreement focused on digital modernization through the Microsoft ecosystem.
- In the financial sector: key clients include **Visa**, **Goldman Sachs**, Travelers, managed through the Microsoft Consulting Services team
- Within Azure, some of the largest global clients with spending above one billion include **Nestlé**, **Bank of America**, **Amazon**.
- Additionally, Microsoft manages high-profile U.S. government entities such as the **CIA**, the United States Senate, and major federal agencies.

Major Strategic Partnerships

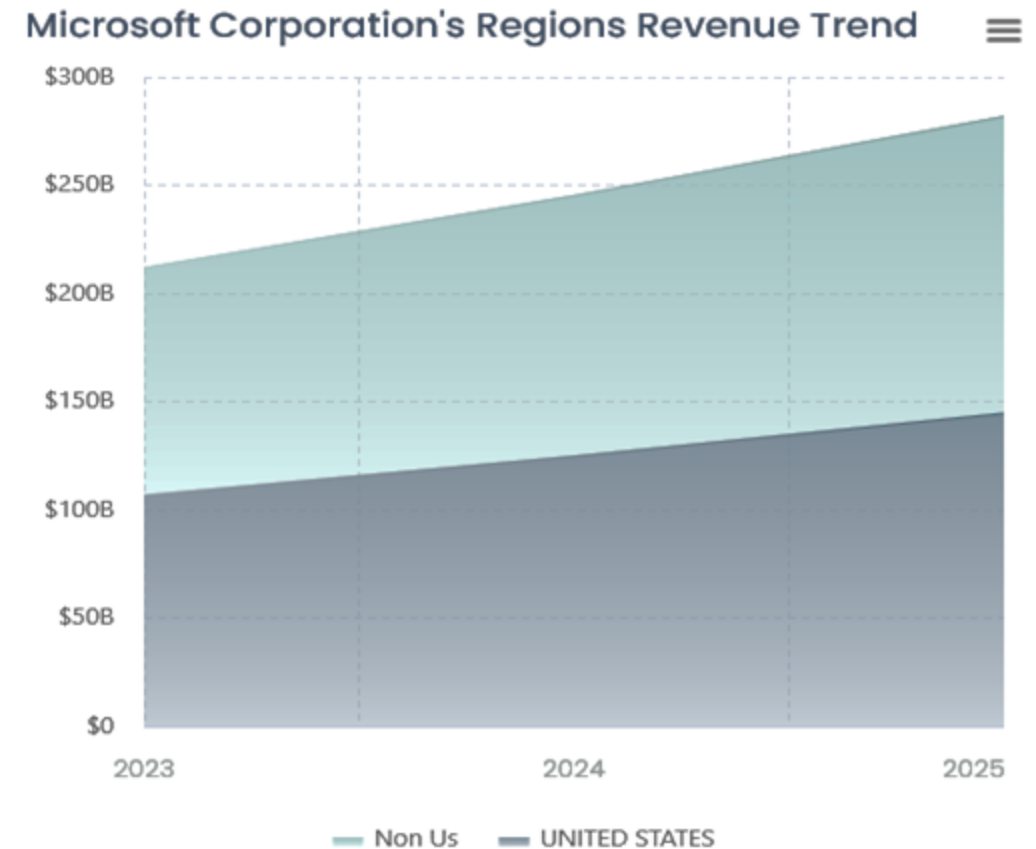
- **Adobe:** integration between Creative Cloud, Experience Cloud, and the Azure platform; enhancement of Office 365;
- **SAP;** collaboration to integrate SAP ERP with Azure, cutting cloud application deployment times by 50%



Geographic exposure

Key points

- **USA & Canada** → account for more than half of global revenues; this is also where a large share of investments in data centers and AI is concentrated.
- **Europe (EU & UK)** → widespread presence with numerous “in-country” cloud regions (Italy, Spain, Poland, France, Germany, etc.), designed to ensure data residency and sovereignty.
- **Asia-Pacific** → significant investments in Japan (a \$2.9 billion plan), broad coverage in India, Southeast Asia, and Australia; in China, Azure/M365 services are operated by a local partner (21Vianet) in a separate instance.
- **Latin America** → cloud regions in Brazil and, starting in 2025, also in Chile (Chile Central), strengthening the region’s coverage and the availability of Microsoft 365.
- **Middle East & Africa** → operational regions in Qatar, the UAE, and South Africa, with a new opening planned in Saudi Arabia; expansion aimed at supporting governments and regulated industries.



Geographic exposure

Microsoft earns a little more than half of its revenue from its domestic market (the U.S.), but almost as much from international customers. This balance makes the company exposed to economic and political dynamics across many regions of the world.

Key risk by region:

- **United States** → Heavy revenue concentration makes Microsoft sensitive to changes in domestic fiscal policy, antitrust scrutiny, and evolving AI regulation.
- **Europe (EU & UK)** → Strong regulatory pressures, including the Digital Markets Act, AI Act, GDPR, and ongoing antitrust investigations (e.g., Teams–Office bundling), could affect pricing, product integration, and compliance costs.
- **Japan & India/SEA** → Operational risks linked to scaling cloud infrastructure (energy, GPU supply, land availability).
- **China** → Unique risks due to separate Azure/M365 instance operated by 21Vianet; stricter local data laws, limited functionality compared to global versions.
- **Latin America** → Exposure to currency volatility (BRL, CLP) and region-specific privacy regulations (e.g., Brazil's LGPD), as well as infrastructure resilience issues.
- **Middle East & Africa** → Dependence on physical network infrastructure (e.g., undersea cables in Africa), and challenges tied to local data residency laws and resource availability (power, water).



ESG & Sustainability



Ambitious 2030 Goals:

With board-level oversight and a dedicated Climate Council, Microsoft has pledged to be carbon negative, water positive, achieve zero waste, and protect more land than it uses by 2030

Innovation:

Drives climate-tech investment with \$793 million allocated to carbon removal, sustainable fuels, and innovative materials, becoming the largest buyer of carbon removal credits in tech

Supply Chain & Circularity:

Mandates key suppliers use 100% carbon-free electricity, implements rigorous recycling and sustainable packaging standards, and diverts thousands of metric tons of waste from landfills

Social Responsibility:

Global community investment, water projects, employee-led green programs, and AI innovation for conservation (Planetary Computer, AI for Good Lab)

Key objectives:



- ✓ Achieved 90.9% recycling rate for servers and components (ahead of its 2025 zero-waste target)



- ✓ Contracted 34 GW of carbon-free electricity across 24 countries (18x increase since 2020)

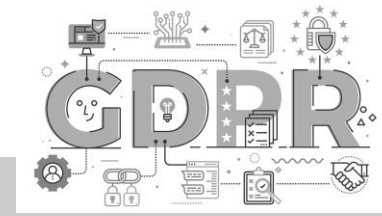


- ✓ Provided clean water access to over 1.5 million people and on track for water positive operations



- ✓ Scope 1 & 2 emissions down 30% from 2020, but total emissions (including Scope 3) up 23.4% due to AI & datacenter expansion

Regulations



Major Regulatory Themes

EU Digital Services Act (DSA)
& Digital Markets Act (DMA)

Microsoft designated as a “gatekeeper,” requiring changes in app interoperability, data portability, and unbundling Teams from Office Suite

GDPR/Data Protection

Cloud and productivity offerings, especially Microsoft 365, have come under close oversight, resulting in comprehensive updates to data transfer mechanisms, purpose limitation, and customer notification around data processing

AI Regulations (EU AI Act)

Conducts systematic risk assessments for AI systems, implements a Responsible AI code of conduct, and updates contracts to address emerging legal duties

Antitrust Scrutiny

FTC and EU investigations into cloud business practices, software bundling and major AI partnerships; ongoing adaptations to new competition laws and market power concerns

Financial, Security, & Industry
Compliance

SOX compliance (incl. SOC/ISO audits) and sector-specific frameworks for healthcare, finance, etc. have been integrated into Microsoft’s risk management tools to meet evolving cybersecurity and privacy laws

Ongoing Changes

New rules on AI transparency, security, and customer consent; Microsoft continues to update compliance programs and supplier codes in response to regulatory developments

Risks

Operational & Macro Risks

Microsoft depends on a global supply chain for datacenter components, chips, and devices — disruptions could slow growth and delay deployments. Broader macro risks such as recessions, rate hikes, FX volatility, and geopolitical conflicts can weigh on demand and profitability.

Cybersecurity & Data Privacy Risks

The growing sophistication of cyberattacks, including those from nation-state actors poses a persistent threat. Zero-day vulnerabilities, large-scale data breaches, and misuse of Microsoft platforms could damage customer trust, trigger regulatory investigations, and result in significant remediation costs.

Legal, Regulatory & Compliance Risks

Microsoft is under close antitrust scrutiny, with the EU's Digital Markets Act and increasing regulatory attention in both the U.S. and China. The company also faces ongoing tax disputes, including a \$28.9B transfer pricing case with the IRS, which could lead to significant financial liabilities.

Business Model & Innovation Risks

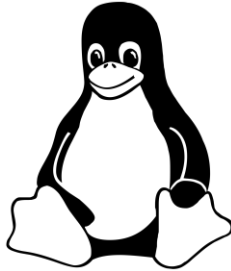
If market adoption slows, margins could come under pressure and the payoff of these investments could be delayed. Large moves such as the Activision Blizzard acquisition and the partnership with OpenAI also carry the risk of not delivering the expected returns.

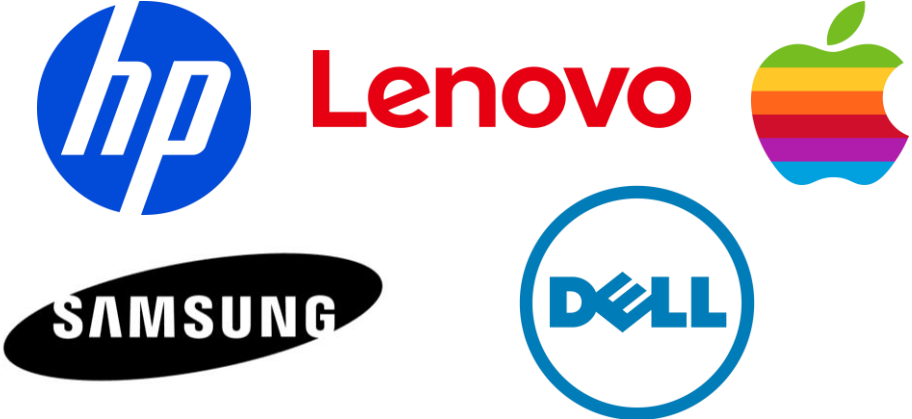
Strategic & Competitive Risks

Rivals like Apple and Google use vertically integrated ecosystems to retain users, while free and open-source alternatives threaten to erode pricing power and market share. Microsoft needs to keep innovating and executing well to stay ahead.



Competitors

Operating Systems & Productivity	  
Context: Apple leverages hardware/OS integration, Google dominates mobile, Linux is strong in servers.	
Microsoft's Edge: Windows is the global desktop standard; Office 365 leads productivity; high switching costs keep enterprise locked in.	
Gaming	 
Context: Sony dominates AAA exclusives, Nintendo thrives on unique IP.	
Microsoft's Edge: box Game Pass drives recurring revenue, but needs to be exploited better	

Cloud & AI	
Context: AWS leads infrastructure, Google pushes AI-native cloud, IBM/Oracle strong in regulated sectors.	
Microsoft's Edge: Azure integrates seamlessly with Microsoft 365, Teams, GitHub; OpenAI partnership accelerates Copilot rollout.	
Search & Advertising	
Context: Google leads global search, Meta/TikTok capture social ad budgets, Amazon grows in retail ads.	
Microsoft's Edge: Bing + Copilot differentiate on AI search; Microsoft leverages LinkedIn's professional data for targeted ads.	
Devices	
Context: Apple dominates premium hardware, Samsung leverages Android scale, Dell/HP/Lenovo lead enterprise PCs.	
Microsoft's Edge: Surface showcases innovation (Copilot+ PC)	

Conclusion

Diversified Market Leader

- Strong brand reputation, global reach, and balanced exposure across cloud, enterprise services, gaming, and personal computing.
- Broad customer base supported by enterprise and partner services, licensing model, and recurring revenue streams.

Competitive Strengths

- Robust R&D investment driving innovation in productivity tools, business processes, and new technologies.
- Integrated ecosystem creates switching costs and enhances cross-platform adoption.

Key Risks & Challenges

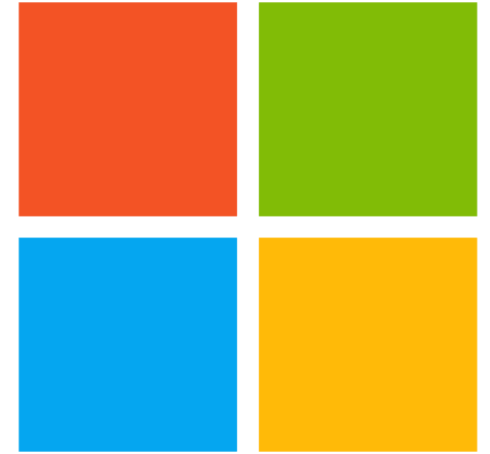
- Rising competition in cloud, search/advertising, and gaming segments.
- Heightened regulatory and sustainability pressures across global markets.

Future Growth Drivers

- Expansion of cloud and enterprise solutions as digital transformation accelerates.
- Increasing monetization in gaming, advertising, and consumer services.

BOTTOM LINE

- Despite competitive and regulatory headwinds, the company's scale, diversification, and brand equity position it to sustain market leadership and deliver long-term value creation



Quantitative Analysis

Shares transactions and policy

Buybacks (Repurchase of own shares)

From 2000 onwards, Microsoft has consistently adopted buyback programs approved by the Board of Directors.

These programs authorize very substantial amounts (40–60 billion USD) and do not have a fixed expiration date (“no expiration date”).

Buybacks have three main purposes:

- Return capital to shareholders together with dividends.
- Increase EPS (Earnings per Share) by reducing the number of shares outstanding.
- Optimize capital structure, signaling confidence in the company’s strength.

Issuances (New share issuances)

Microsoft issues new shares mainly for stock-based compensation (equity incentive plans for employees and executives).

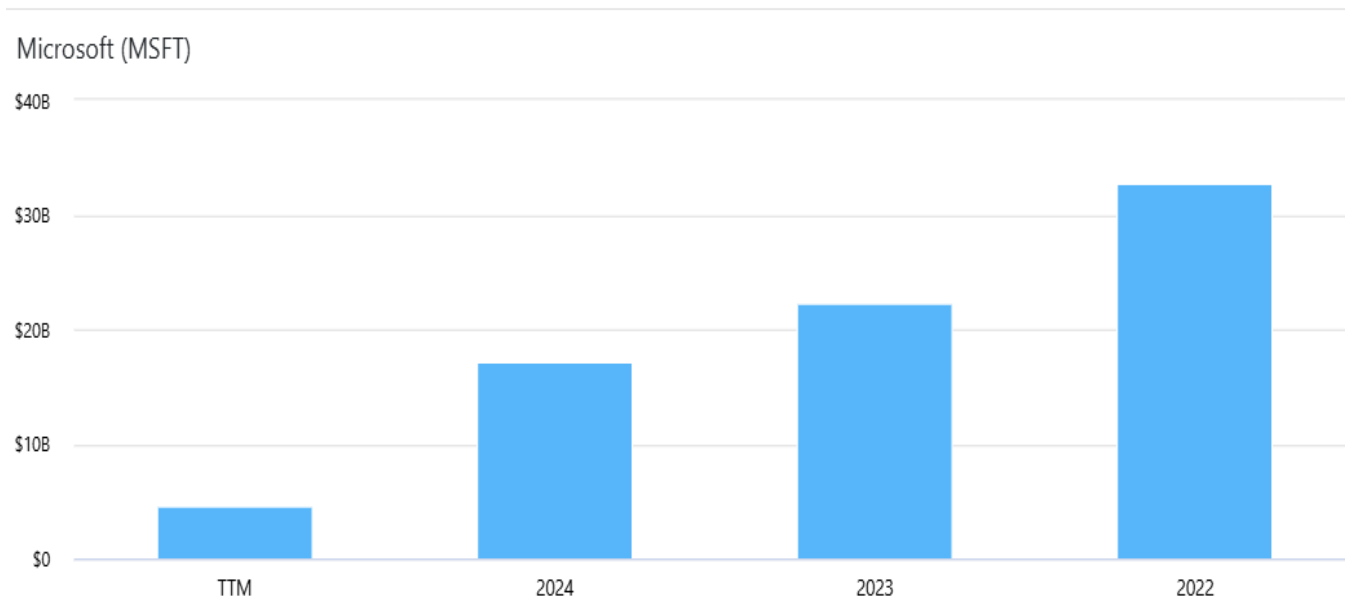
Issuances related to stock compensation lead to EPS dilution, but are often offset by buybacks.

As of June 30, 2025, Microsoft has issued new shares, bringing the total number of shares outstanding to 7.434 billion, an increase compared to 7.433 billion recorded in June 2024. This increase was mainly due to the exercise of stock options by employees and executives, rather than new issuances on the primary market.

Share Repurchases (Buyback)

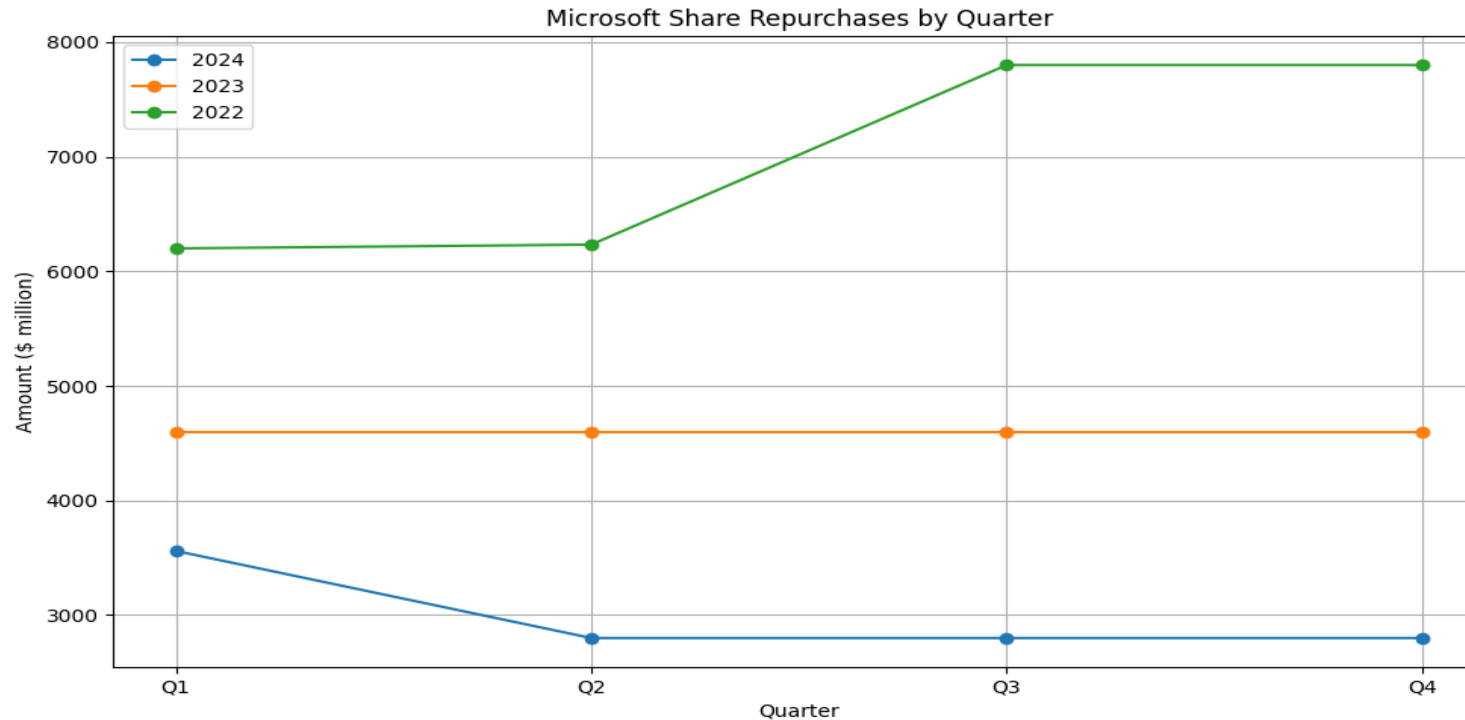
On **September 18, 2019**, Microsoft's **Board of Directors** approved a share repurchase program authorizing up to **\$40.0 billion** in stock buybacks. This program began in **February 2020** and was completed in **November 2021**.

MSFT Share Buybacks Last 4Y Chart



Share Repurchases (continued)

Later, on **September 14, 2021**, the Board authorized a new share repurchase program of up to **\$60.0 billion**. This program commenced in **November 2021**, immediately following the completion of the 2019 program, has **no set expiration date**, and may be **terminated at any time**. As of **June 30, 2024**, **\$10.3 billion** remained available under this \$60.0 billion buyback program.



Sources: Microsoft Annual Report (2024), Financecharts.com.

Share Repurchases (Buyback)

The chart shows Microsoft's cumulative share repurchases over the fiscal years 2015–2024. The company has consistently executed large buyback programs, with particularly strong repurchases in FY2019–FY2022, which significantly accelerated the cumulative total. By FY2024, Microsoft had returned roughly \$165 billion to shareholders through share buybacks over the ten-year period.

Strategic implications

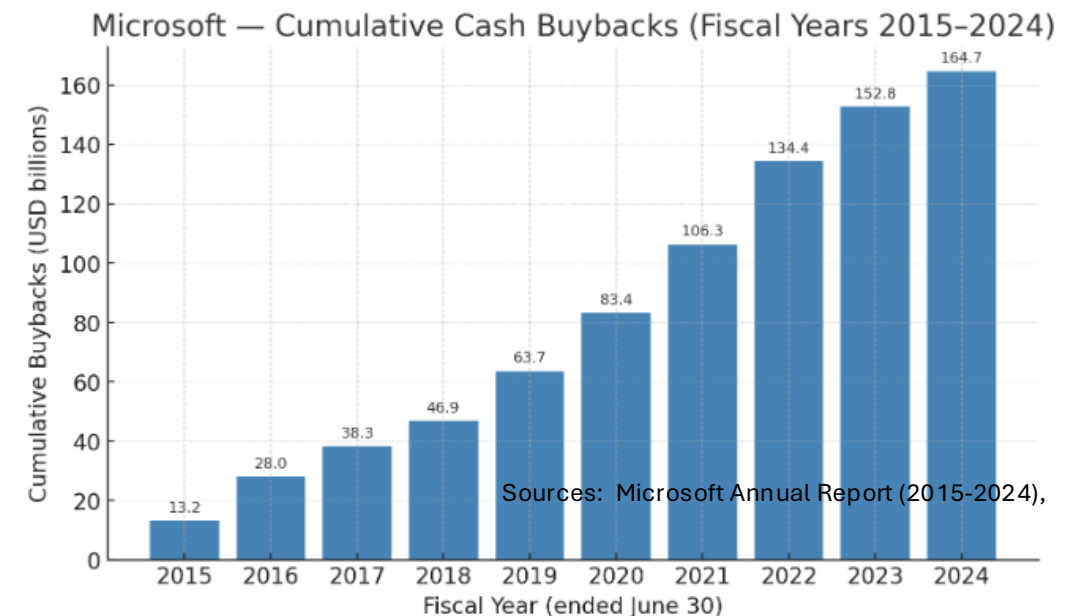
EPS (Earnings per Share): Buybacks allow supporting the growth of EPS even in contexts of regular issuances.

Market signal: Repurchase programs so large reflect management's confidence in the company's intrinsic value.

Financial flexibility: The presence of ample cash reserves allows Microsoft to choose when and how much to repurchase without compromising strategic investments.

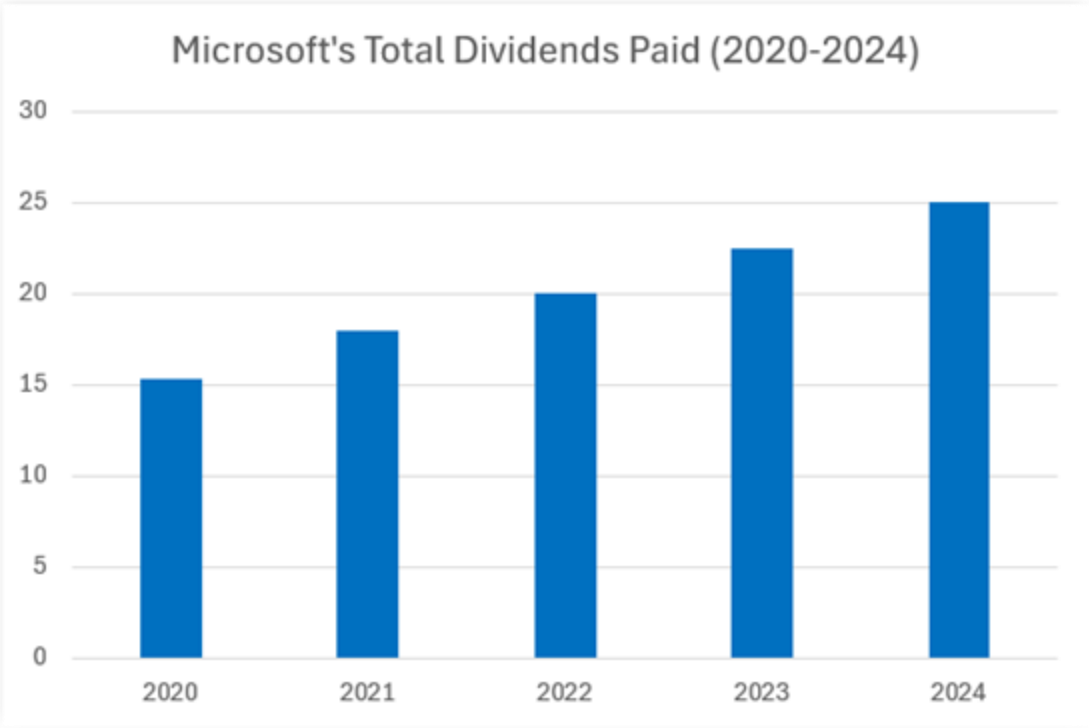
Employee compensation: The regular issuance of shares for stock-based compensation is central in the talent retention strategy, especially in the tech sector.

Balance: Overall, the policy leads to a stable shareholding structure, where dilution is neutralized by buybacks and EPS remains supported.



Dividends

Microsoft adopts a regular and growing dividend policy, aiming to return value to shareholders while maintaining a solid financial position. Since 2003, the company has paid quarterly dividends and has increased the annual amount for 19 consecutive years. Microsoft's dividend policy is supported by a low payout ratio and steady dividend growth, indicating prudent financial management and a strategy focused on returning value to shareholders.

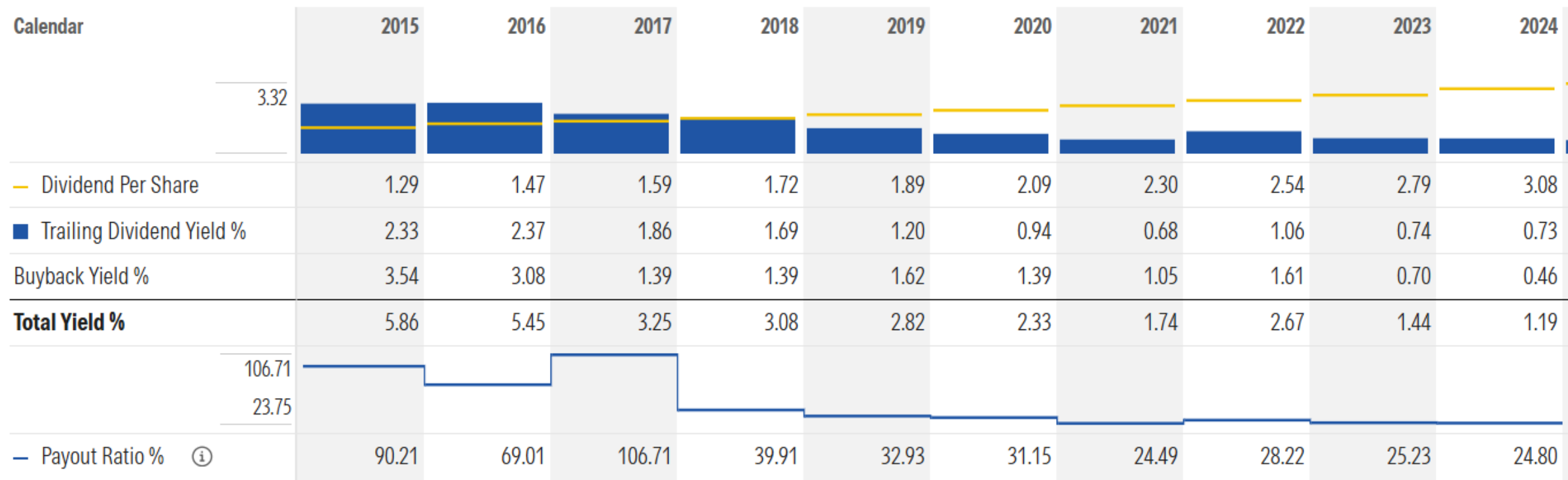


(Figure in Billions of dollars)

Quarterly Payments		
DATE	DIVIDEND	YELD
Aug 21, 2025	0.83	0,66%
May 15, 2025	0.83	0,73%
Feb 20, 2025	0.83	0,80%
Nov 21, 2024	0.75	0,80%
Aug 15, 2024	0.75	0,72%

In 2024, Microsoft declared a quarterly dividend of \$0.83 per share, reflecting a 10% increase compared to the previous quarter

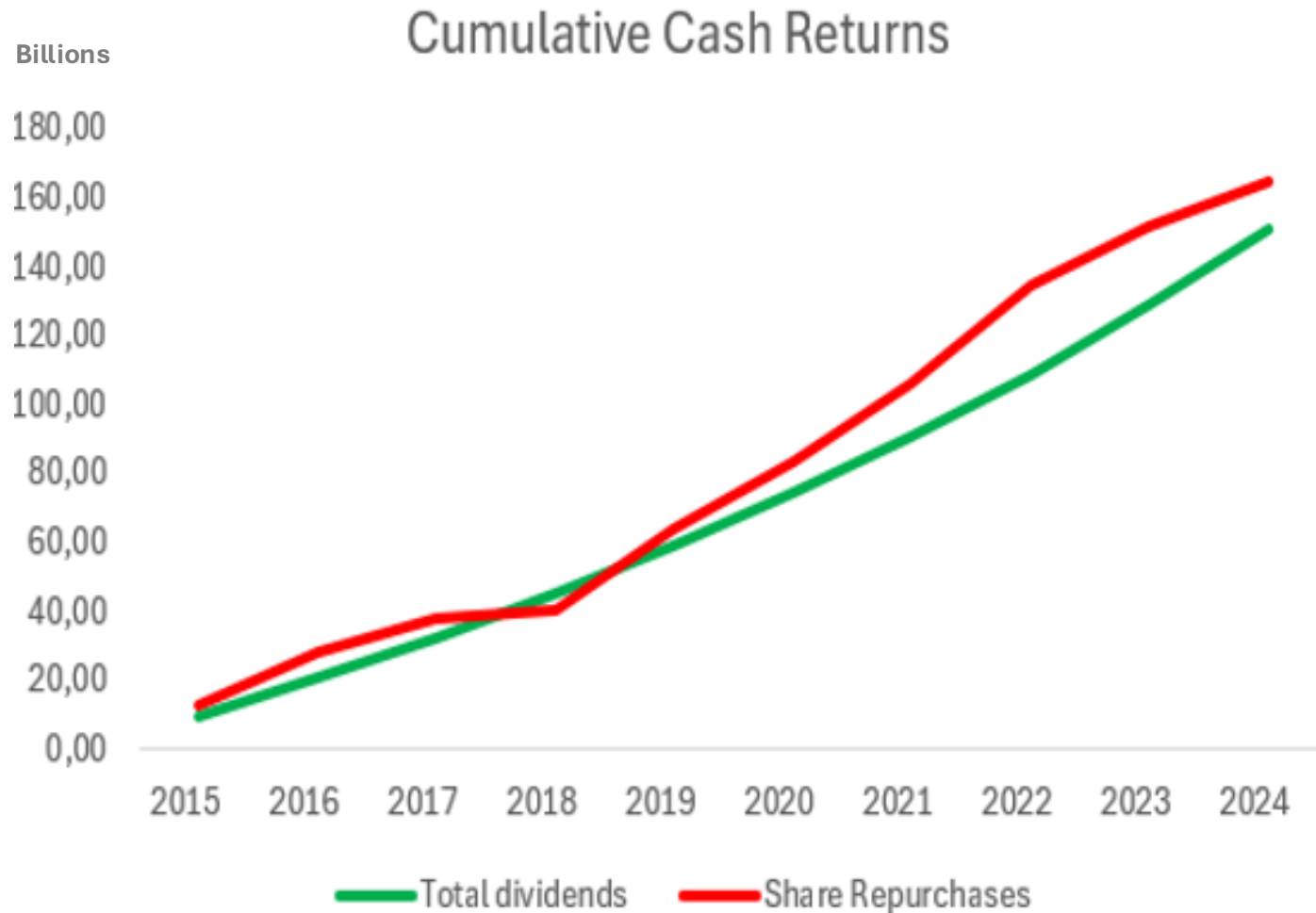
Dividends



The chart shows that Microsoft has a history of **consistently increasing its dividend per share** from 2015 to 2024 as seen in the previous slide. However, the **trailing dividend yield** and **buyback yield** have shown a general downward trend over the years. This could be due to Microsoft's share price growing at a faster rate than the increases in dividends and the size of its share buybacks. The **total yield**, which combines both dividends and buybacks, has also followed a similar path.

The **payout ratio** (the ratio of dividends to earnings) has decreased significantly over the years, stabilizing at around 25%.

Dividends & Repurchases



The chart illustrates Microsoft's **cumulative cash returns** from 2015 to 2024, distinguishing between dividends (green line) and share repurchases (red line).

Both components show steady growth over time, but **buybacks have played an increasingly dominant role**, surpassing dividends in 2018 and widening the gap in the following years.

This highlights Microsoft's preference for returning capital to shareholders through repurchases, which are generally considered more flexible and tax-efficient compared to dividend distributions.

Trend of financial key factors (5 years)

Year	2025	2024	2023	2022	2021
Total Revenue	\$281,724	\$245,122	\$211,915	\$198,270	\$168,088
Net Income	\$101,832	\$88,136	\$72,361	\$72,738	\$61,271
Cash Flow from Operations	\$136,162	\$118,548	\$87,582	\$89,035	\$76,740
Free Cash Flow from Operations	\$71,611	\$74,071	\$59,475	\$65,149	\$56,118

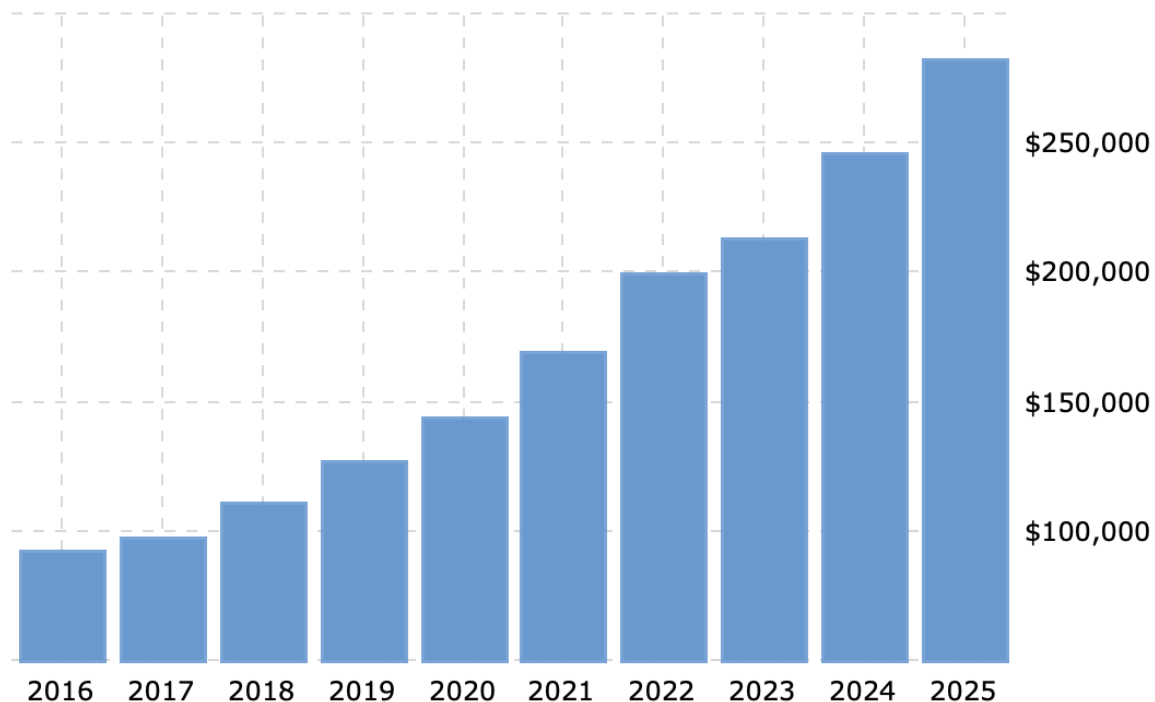
Note: All figures are in \$M and reflect Q2 values for each year

Sources: [macrotrends.net](https://www.macrotrends.net)

Trend of financial key factors (10 years)

Total Revenue

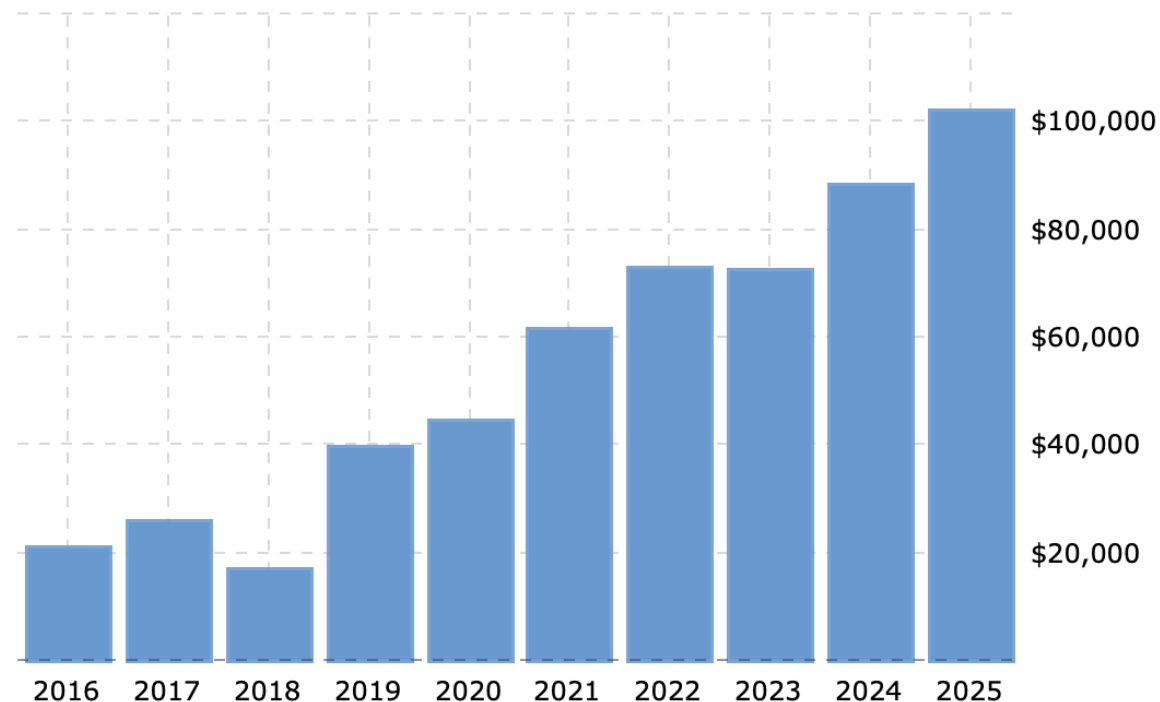
Annual Values (Millions of US \$)



Microsoft's revenue has shown strong, fairly steady growth, especially accelerating in the last several years (2020→2025). The company has scaled dramatically, moving from under \$100B levels in mid-2010s to over \$250B+ recently. This reflects growth across its cloud, subscription, and enterprise segments.

Net Income

Annual Values (Millions of US \$)

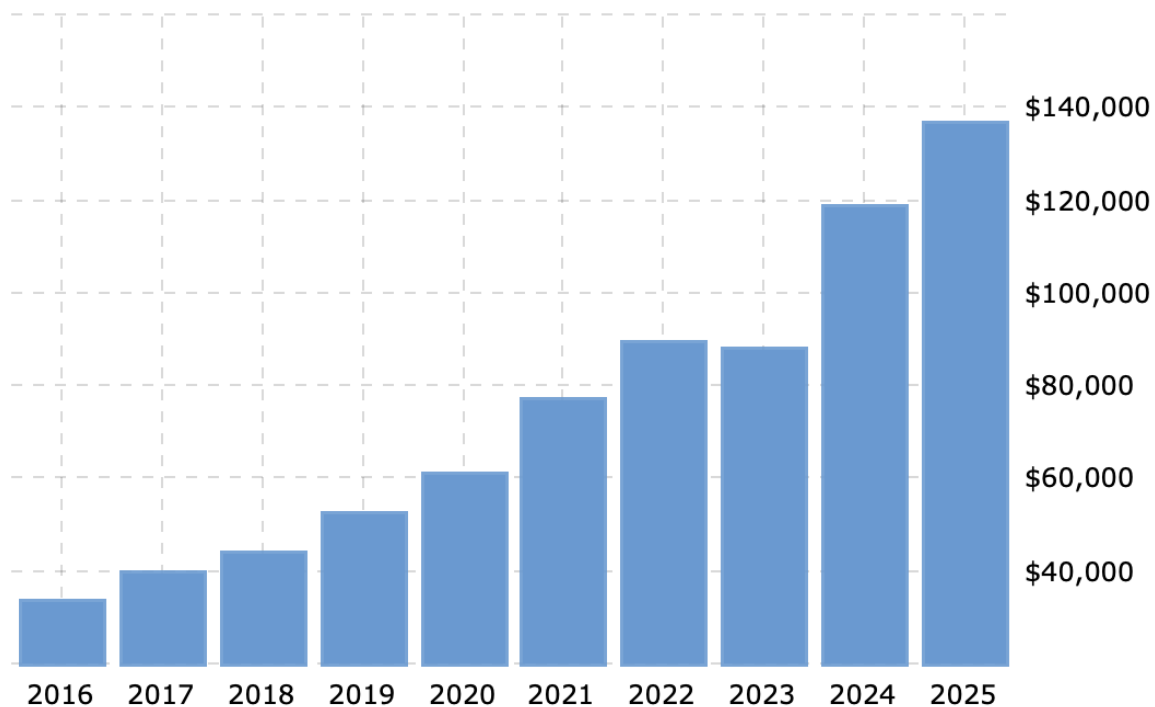


Net income has grown even more sharply in absolute terms. The increase tends to lag revenue somewhat, but rising margins and operational leverage have allowed Microsoft to turn more of its revenue into profit over time. The jump from \$44B in 2020 to \$100B in ~2025 is particularly steep.

Trend of financial key factors (10 years)

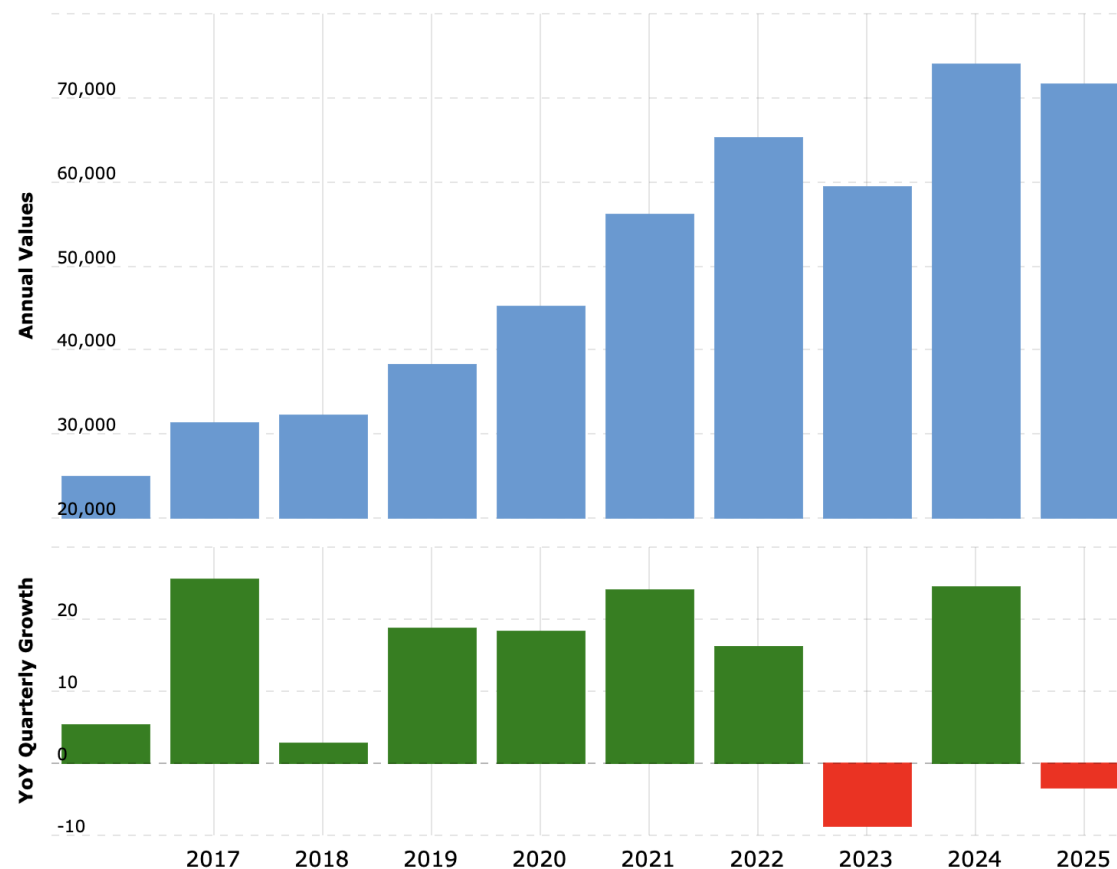
Cash Flow from Operations

Annual Values (Millions of US \$)



CFO has tracked up strongly. As revenue and net income rose, operating cash flows rose, showing that the business is not just profitable on paper but converting more into actual cash. The growth in CFO suggests better efficiency in operations and working capital over time.

Free Cash Flow



FCF has also grown, though perhaps a bit more volatile relative to CFO. Capex and investment have eaten into some cash, but overall FCF has increased in line with Microsoft's.

Operating performance

Year	2025	2024	2023	2022	2021
ROE %	33.28	37.13	38.82	47.15	47.08
ROA %	18.00	19.07	18.63	20.82	19.30
ROIC %	27.48	29.23	28.96	33.23	30.80
Gross Margin %	68.82	69.76	68.92	68.40	68.93
Operating Margin %	45.62	44.64	41.77	42.06	41.59
Net Margin %	36.15	35.96	34.15	36.69	36.45

Margins and ratios comparison

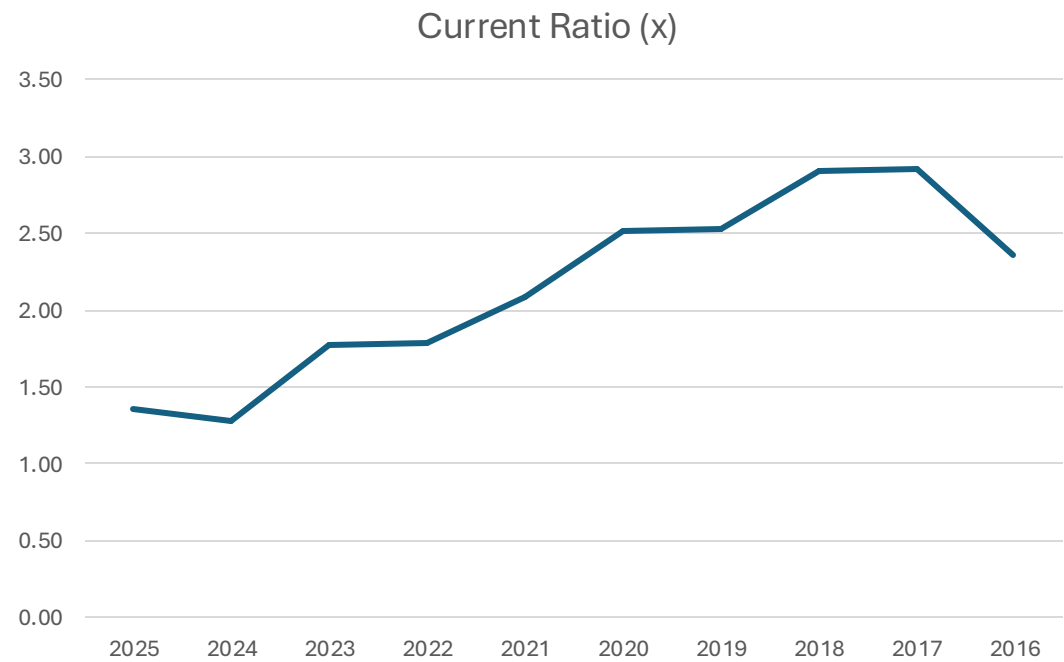
Profitability Rank  10/10

Name	Current	Vs Industry	Vs History
Gross Margin %	 68.76		
Operating Margin %	 46.27		
Net Margin %	 35.71		
EBITDA Margin %	 57.86		
FCF Margin %	 26.55		
ROE %	 32.4		
ROA %	 18.25		
ROIC %	 22.43		

Current ratio

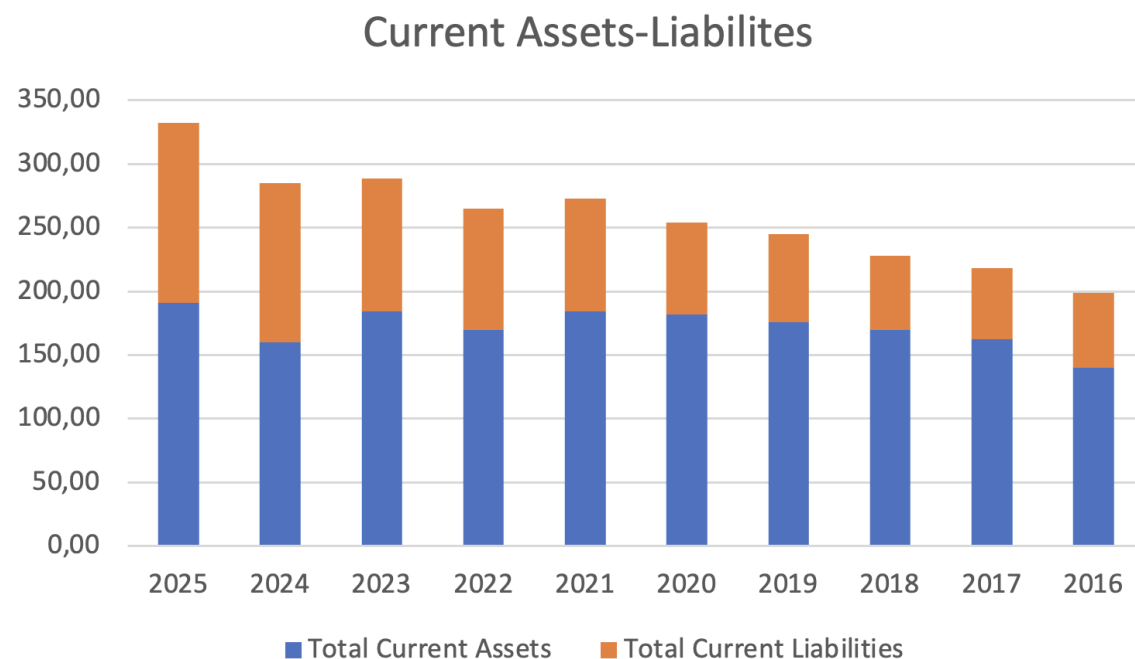
Microsoft’s current ratio stands at **1.35**, which positions the company slightly above the median of its peers (**1.28**) but below the industry average (**1.91**), which is distorted upward by outliers such as **Palantir** with a ratio above **6x**. The metric has steadily declined from its **2020** peak of **2.52x**, signaling a shift away from maintaining excess current assets toward a more capital-efficient balance sheet. Despite this **downward trend**, the **ratio** remains **comfortably above** the critical threshold of **1**, indicating that Microsoft retains more than sufficient liquidity to cover its short-term obligations. This reflects a deliberate management choice to balance liquidity with reinvestment, aligning with the company’s capital allocation priorities.

Company		Current
Name	Ticker	Ratio
Microsoft	MSFT-US	1,35
Palantir Tchnlg	PLTR-US	6,32
Salesforce	CRM-US	1,04
Salesforce CD	CRM-CA	1,04
ServiceNow	NOW-US	1,03
AppLovin A	APP-US	2,74
Intuit	INTU-US	1,36
Adobe	ADBE-US	0,99
Average		1,98
Median		1,20



Looking Ahead

The continued compression in Microsoft's current ratio suggests a purposeful strategy of optimizing working capital and deploying cash into productive investments. Management has been channeling significant resources into cloud infrastructure, AI capabilities, and R&D initiatives to reinforce the company's competitive moat. While this approach may lead to a further moderation of liquidity ratios, it is likely to drive higher returns on invested capital and sustain long-term growth. Investors should view the lower current ratio not as a sign of financial stress but as evidence of disciplined capital management and confidence in future cash-flow generation, which provides resilience even in a more capital-intensive operating environment.

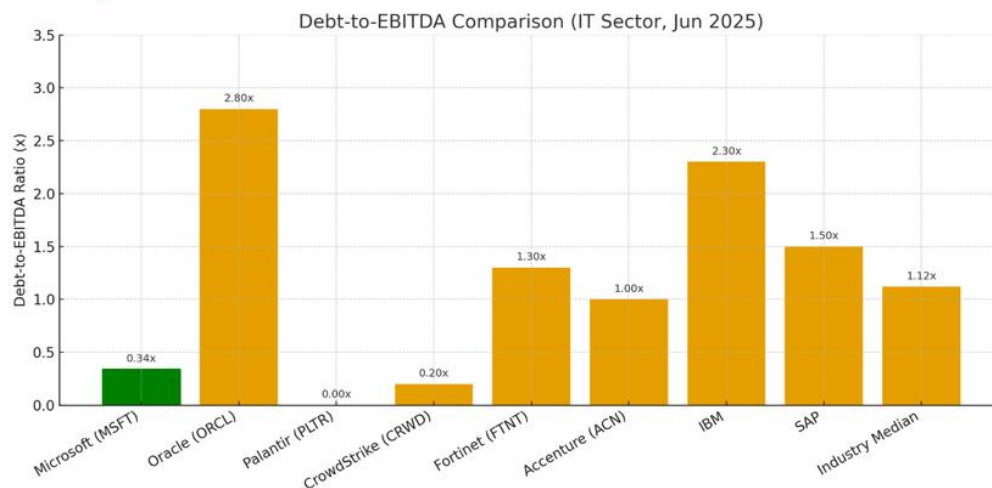


Debt to EBITDA

Summary

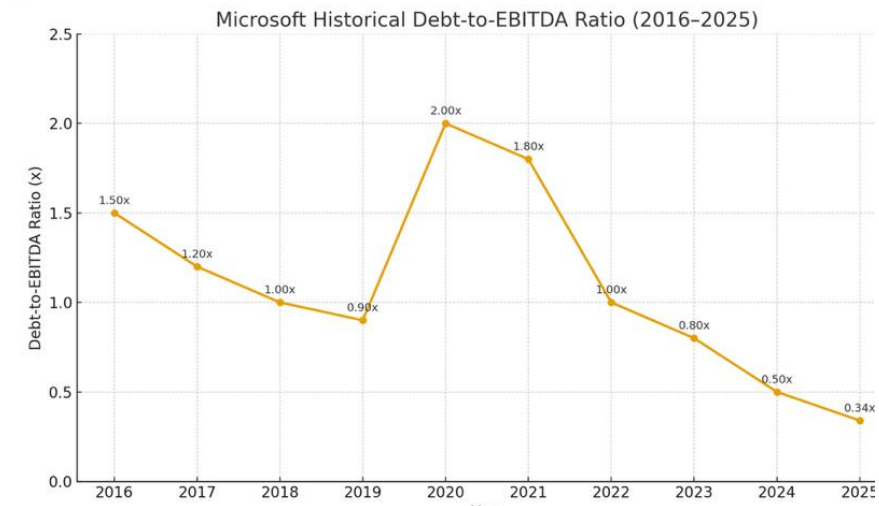
For the year ended June 2025, Microsoft's Debt-to-EBITDA ratio was 0.34x. This shows Microsoft is very financially stable, and they do not overly rely on debt. With high EBITDA and relatively low long-term and short-term debt, Microsoft spends less of its earnings on debt than many other IT companies, making it even more valuable.

Debt-to-EBITDA Comparison (IT Sector, Jun 2025)



Microsoft's Debt-to-EBITDA ratio is much less than the industry average and other top companies, increasing its standing in the IT sector.

Microsoft Historical Debt-to-EBITDA Ratio (2016–2025)

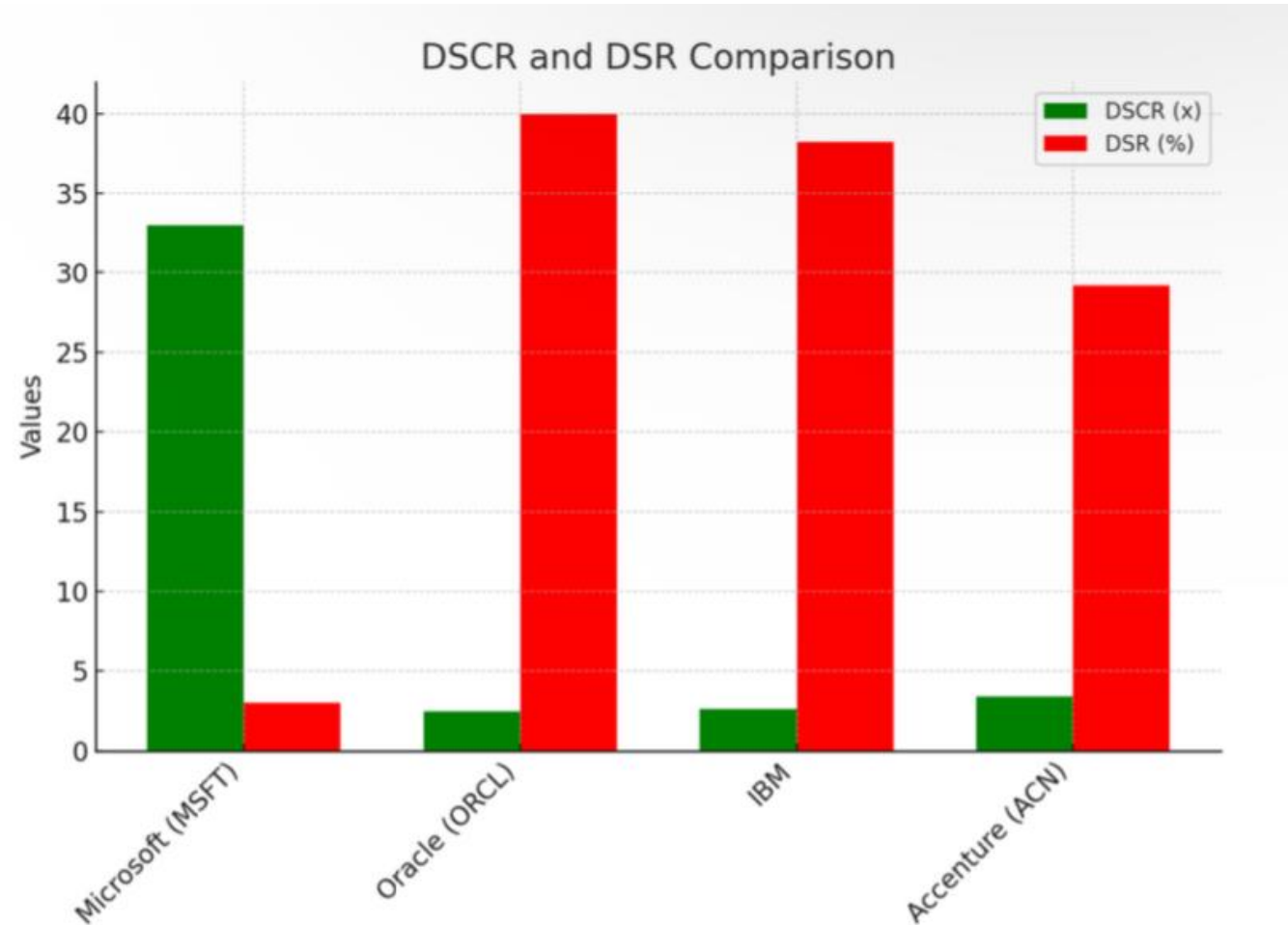


Microsoft's Debt-to-EBITDA ratio was reduced each year from 2016 until 2020, when COVID caused a large jump in the company's debt. However, the ratio has been constantly decreasing each year after, with the current ratio the lowest it has been in the past decade.

DSCR and DSR

Summary

Microsoft's Debt Service Coverage Ratio is 33x, which means Microsoft has \$33 of operating income for \$1 of debt service. This is extraordinarily high, signaling that debt obligations are essentially negligible compared to the cash flow Microsoft produces. To add on, Microsoft's Debt Service Ratio is 3%, which means 3% of Microsoft's operating income is required to service debt, meaning 97% is free for reinvestment, buybacks, or dividends. Microsoft produces cash at a much higher rate than it borrows, which is one of the reasons it is such a financially stable and investable company.



Credit Analysis

Company	EBITDA (\$B)	Debt Service (\$B)	DSCR (x)	DSR (%)
Microsoft (MSFT)	177.70	5.38	33.0x	3.0%
Oracle (ORCL)	25.00	10.00	2.5x	40.0%
IBM	17.00	6.50	2.6x	38.2%
Accenture (ACN)	12.00	3.50	3.4x	29.2%

Analysis

Credit Risk:

Very low — lenders see almost no repayment risk.

Financial Flexibility:

Microsoft can easily fund growth (AI, cloud, data centers) while still servicing debt.

Balance Sheet Strength:

Reinforces why Microsoft is consistently rated at the top of the credit scale (AAA/Aaa).

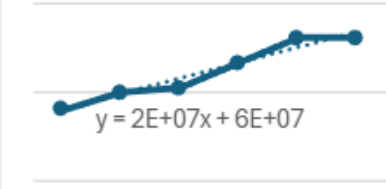
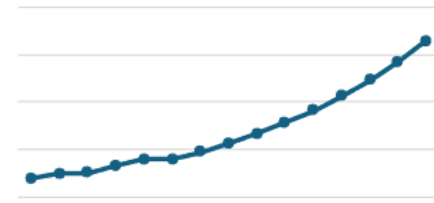
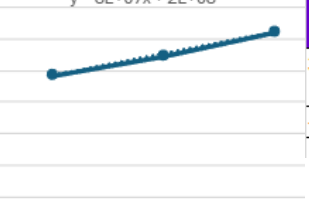
Growth rate

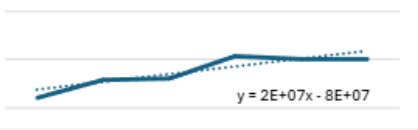
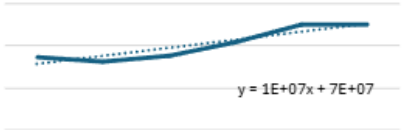
Microsoft’s earnings per share (EPS) have consistently expanded over the past five years, supported by strong revenue growth, operating efficiency, and strategic positioning in cloud computing and AI. To evaluate the company’s future performance, we can compare long-term EPS growth forecasts across several analyst sources.

Sources	Long-Term EPS Growth Rate
Finviz	12.2%
Zacks	14.9%
Simply Wall Street	12.7%
Historial CAGR	~14.8%
AVERAGE PROJECTED GROWTH RATE	13.6%

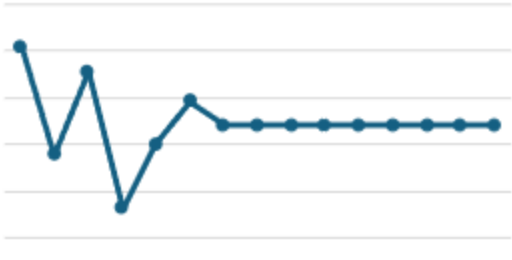
The table suggests Microsoft will maintain double-digit EPS growth over the next 3–5 years, which is consistent with its historical performance. This sustained growth reflects the company’s ability to generate increasing value per share, reinforcing its strong fundamentals and long-term investment performance.

Valuation

Years	Ebitda past growth									
Date										
Years into Forecast										
X axis addition										
Ebitda	Slope									
Current debt	19320850.49									
Long term debt	58058824.14									
Ebitda forecast			2021A	2022A	2023A	2024A	2025A	TTM	2026A	2027A
Expected growth			80,816,000.00 €	100,239,000.00 €	105,140,000.00 €	133,009,000.00 €	160,165,000.00 €	160,165,000.00 €	191,435,000.00 €	221,685,000.00 €
(https://www.guruf										
Historical average 20.40%			80,816,000.00 €	100,239,000.00 €	105,140,000.00 €	133,009,000.00 €	160,165,000.00 €	160,165,000.00 €	192,838,660.00 €	232,177,746.64 €
growth rate										
Ebitda			80,816,000.00 €	100,239,000.00 €	105,140,000.00 €	133,009,000.00 €	160,165,000.00 €	160,165,000.00 €	192,136,830.00 €	226,931,373.32 €
2028A	2029A	2030A	2031A	2032A	2033A	2034A	2035A	Ebitda	Ebitda expected growth	Slope
259,360,000.00 €	292,057,368.32 €	325,975,077.41 €	359,892,786.49 €	393,903,420.81 €	427,821,129.89 €	461,738,838.98 €	495,656,548.06 €			33917709.08
279,542,006.95 €	336,568,576.37 €	405,228,565.95 €	487,895,193.41 €	587,425,812.86 €	707,260,678.69 €	851,541,857.14 €	1,025,256,396.00 €			-13387863.90
269,451,003.48 €	314,312,972.35 €	365,601,821.68 €	423,893,989.95 €	490,664,616.83 €	567,540,904.29 €	656,640,348.06 €	760,456,472.03 €			
Capex schedule			2021A	2022A	2023A	2024A	2025A	TTM	2026A	2027A
Historical average growth rate (last 5 years)			20,620,000.00 €	23,890,000.00 €	28,110,000.00 €	44,480,000.00 €	64,550,000.00 €	64,550,000.00 €	79,275,962.65 €	97,361,398.20 €
Linear forecast			20,620,000.00 €	23,890,000.00 €	28,110,000.00 €	44,480,000.00 €	64,550,000.00 €	64,550,000.00 €	70,879,868.25 €	82,235,655.51 €
Capex			20,620,000.00 €	23,890,000.00 €	28,110,000.00 €	44,480,000.00 €	64,550,000.00 €	64,550,000.00 €	75,077,915.45 €	89,798,526.86 €
2028A	2029A	2030A	2031A	2032A	2033A	2034A	2035A	CAPEX	CAPEX past growth	Slope
119,572,712.12 €	146,851,151.97 €	180,352,694.64 €	221,497,033.06 €	272,027,738.49 €	334,086,147.74 €	410,302,106.42 €	503,905,413.85 €			11355787.26
93,622,554.52 €	104,978,341.78 €	116,334,129.04 €	127,689,916.30 €	139,076,815.31 €	150,432,602.57 €	161,788,389.83 €	173,144,177.09 €			Intercept
106,597,633.32 €	125,914,746.88 €	148,343,411.84 €	174,593,474.68 €	205,552,276.90 €	242,259,375.15 €	286,045,248.13 €	338,524,795.47 €			2714032.94

Net Working Capital Schedule	2021A	2022A	2023A	2024A	2025A	TTM		
Total current assets	184,406,000.00 €	169,684,000.00 €	184,257,000.00 €	159,734,000.00 €	191,131,000.00 €	191,131,000.00 €	Operating current assets  Slope 18498390.68 Intercept -86024343.42	
(-) Cash, cash equivalents & short term investments	130,334,000.00 €	104,749,000.00 €	111,256,000.00 €	75,531,000.00 €	94,555,000.00 €	94,555,000.00 €		
(-) Hedging assets current		8,000.00 €	6,000.00 €	12,000.00 €	10,000.00 €	10,000.00 €		
Operating current assets	-76,262,000.00 €	-39,814,000.00 €	-38,255,000.00 €	8,672,000.00 €	2,021,000.00 €	2,021,000.00 €	Operating current liabilities  Slope 10519421.42 Intercept 66012956.95	
Total current liabilities	88,657,000.00 €	95,082,000.00 €	104,149,000.00 €	125,286,000.00 €	141,218,000.00 €	141,218,000.00 €		
(-) Current debt and capital lease obligation	1,962,000.00 €	2,749,000.00 €	5,247,000.00 €	8,942,000.00 €	2,999,000.00 €	2,999,000.00 €		
(-) Pension & Other Post Retirement Benefit Plans	- €	10,661,000.00 €	11,009,000.00 €	12,564,000.00 €	13,709,000.00 €	13,709,000.00 €		
(-) Discontinued Operations Liabilities	- €	- €	- €	- €	- €	- €		
Operating current liabilities	86,695,000.00 €	81,672,000.00 €	87,893,000.00 €	103,780,000.00 €	124,510,000.00 €	124,510,000.00 €		

Net Working Capital Schedule	2021A	2022A	2023A	2024A	2025A	TTM	2026A	2027A
Operating current assets forecast								
Trendline equation	-76,262,000.00 €	-39,814,000.00 €	-38,255,000.00 €	8,672,000.00 €	2,021,000.00 €	2,021,000.00 €	25,016,681.16	43,515,071.83
Operating current liabilities forecast								
Trendline equation	86,695,000.00 €	81,672,000.00 €	87,893,000.00 €	103,780,000.00 €	124,510,000.00 €	124,510,000.00 €	129,158,305.79 €	139,677,727.21 €
Net working capital	-162,957,000.00 €	-121,486,000.00 €	-126,148,000.00 €	-95,108,000.00 €	-122,489,000.00 €	-122,489,000.00 €	-104,141,624.64 €	-96,162,655.38 €
Change in Net Working Capital		41,471,000.00 €	- 4,662,000.00 €	31,040,000.00 €	-27,381,000.00 €	- €	18,347,375.36 €	7,978,969.26 €

2028A	2029A	2030A	2031A	2032A	2033A	2034A	2035A		
62,064,143.03	80,562,533.71	99,060,924.38	117,559,315.06	136,108,386.26	154,606,776.93	173,105,167.61	191,603,558.29	Change in Net Working Capital 	
150,225,968.96 €	160,745,390.38 €	171,264,811.80 €	181,784,233.22 €	192,332,474.97 €	202,851,896.39 €	213,371,317.80 €	223,890,739.22 €		
-88,161,825.93 €	-80,182,856.67 €	-72,203,887.42 €	-64,224,918.16 €	-56,224,088.71 €	-48,245,119.45 €	-40,266,150.19 €	- 32,287,180.94 €		
8,000,829.45 €	7,978,969.26 €	7,978,969.26 €	7,978,969.26 €	8,000,829.45 €	7,978,969.26 €	7,978,969.26 €	7,978,969.26 €		

WACC Schedule

Cost of Equity	
Risk Free Rate, 10Y treasury (28/10/2025)	4.20%
Average market risk premium from statista	5.50%
Country Risk Premium July 2024, Damodar	0.00%
Beta Finviz	1.02
Cost of Equity CAPM	9.81%

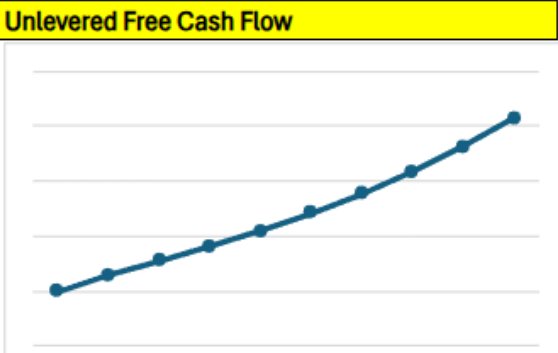
Cost of Debt	
Risk Free Rate, 10Y treasury (28/10/2025)	4.20%
Tax Rate	17.70%
Spread for AA- (https://aswathdamodaran.blog)	0.70%
Cost of Debt CAPM	4.78%

WACC (numbers in thousands)	
Debt - Market Value (Billions)	112,180
Equity - Market Cap (28/02/2025) (Billions)	2,951,660
Weighted Average Cost of Capital (WACC)	9.63%

DFC & PGR Assumptions	
WACC (Discount Rate)	9.63%
Perpetual g	2.89%

Region	2025	2025%
United States	124,700,000,000 €	50.88%
EMEA	54,200,000,000 €	22.11%
APLA	42,100,000,000 €	17.18%
Greater China	24,100,000,000 €	9.83%
Total revenues	245,100,000,000 €	100.00%

From data World bank and IMF	Period	Value	Source
GDP growth (annual %) - United States	2016-2025	2.37%	https://www.imf.org
GDP growth (annual %) - EMEA	2016-2025	1.92%	
GDP growth (annual %) - APLA	2016-2025	4.17%	
GDP growth (annual %) - Greater China	2016-2025	5.48%	



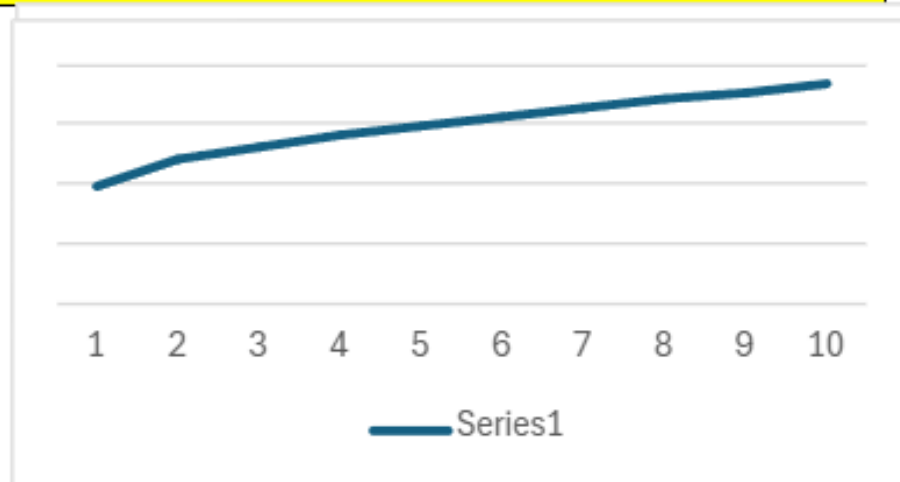
Years into Forecast	0.76	1.76	2.76	3.76	4.76	5.76	6.77	7.77	8.77	9.77
EBITDA	192,136,830.00 €	226,931,373.32 €	269,451,003.48 €	314,312,972.35 €	365,601,821.68 €	423,893,989.95 €	490,664,616.83 €	567,540,904.29 €	656,640,348.06 €	760,456,472.03 €
Capital Expenditure	75,077,915.45 €	89,798,526.86 €	106,597,633.32 €	125,914,746.88 €	148,343,411.84 €	174,593,474.68 €	205,552,276.90 €	242,259,375.15 €	286,045,248.13 €	338,524,795.47 €
Change in Net Working Capital	18,347,375.36 €	7,978,969.26 €	8,000,829.45 €	7,978,969.26 €	7,978,969.26 €	7,978,969.26 €	8,000,829.45 €	7,978,969.26 €	7,978,969.26 €	7,978,969.26 €
Unlevered Free Cash Flow	98,711,539.18 €	129,153,877.20 €	154,852,540.71 €	180,419,256.21 €	209,279,440.58 €	241,321,546.01 €	277,111,510.49 €	317,302,559.88 €	362,616,130.67 €	413,952,707.30 €

Years into Forecast	0.76	1.76	2.76	3.76	4.76	5.76	6.77	7.77	8.77	9.77
EBITDA	192,136,830.00 €	226,931,373.32 €	269,451,003.48 €	314,312,972.35 €	365,601,821.68 €	423,893,989.95 €	490,664,616.83 €	567,540,904.29 €	656,640,348.06 €	760,456,472.03 €
Capital Expenditure	75,077,915.45 €	89,798,526.86 €	106,597,633.32 €	125,914,746.88 €	148,343,411.84 €	174,593,474.68 €	205,552,276.90 €	242,259,375.15 €	286,045,248.13 €	338,524,795.47 €
Change in Net Working Capital	18,347,375.36 €	7,978,969.26 €	8,000,829.45 €	7,978,969.26 €	7,978,969.26 €	7,978,969.26 €	8,000,829.45 €	7,978,969.26 €	7,978,969.26 €	7,978,969.26 €

Unlevered Free Cash Flow	98,711,539.18 €	129,153,877.20 €	154,852,540.71 €	180,419,256.21 €	209,279,440.58 €	241,321,546.01 €	277,111,510.49 €	317,302,559.88 €	362,616,130.67 €	413,952,707.30 €
<u>Cash Flow</u>	0.76	1.76	2.76	3.76	4.76	5.76	6.77	7.77	8.77	9.77
Cash Flow Discrete Forecast (U	98,711,539.18 €	129,153,877.20 €	154,852,540.71 €	180,419,256.21 €	209,279,440.58 €	241,321,546.01 €	277,111,510.49 €	317,302,559.88 €	362,616,130.67 €	413,952,707.30 €
Terminal Value										6,318,742,298.35 €
Total Cash Flow	98,711,539.18 €	129,153,877.20 €	154,852,540.71 €	180,419,256.21 €	209,279,440.58 €	241,321,546.01 €	277,111,510.49 €	317,302,559.88 €	362,616,130.67 €	6,732,695,005.65 €

<u>Discounted Cash Flow</u>										
Discounted Cash Flow	98,711,539.18 €	120,422,729.60 €	131,706,443.55 €	139,942,586.07 €	148,074,829.56 €	155,753,725.42 €	163,149,060.96 €	170,365,600.51 €	177,600,065.06 €	184,941,509.05 €
Discounted Terminal Value										2,575,146,741.91 €
Total Discounted Cash Flow	98,711,539.18 €	120,422,729.60 €	131,706,443.55 €	139,942,586.07 €	148,074,829.56 €	155,753,725.42 €	163,149,060.96 €	170,365,600.51 €	177,600,065.06 €	2,760,088,250.97 €

Discunted Cashflow, tv excluded



Enterprise Value	4,065,814,830.87 €
Debt	- 60,588,000.00 €
Minority Interest	- €
Cash & CE & Short Term Investments	94,555,000.00 €
Equity Value	4,099,781,830.87 €

Shares Outstanding	7465000
Price / Shares	549.20 €
Final position	BUY/HOLD